

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

-----X	:	
INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
Complainant,	:	
v.	:	FMC Docket No.: 22-12
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC,	:	
Respondents.	:	
-----X	:	

**INTERNATIONAL LONGSHOREMEN’S ASSOCIATION’S
EXCEPTIONS TO THE DECISION OF THE
ADMINISTRATIVE LAW JUDGE**

Complainant International Longshoremen’s Association (“ILA”), by its undersigned counsel, respectfully submits the following Exceptions to the Initial Decision and Order of the Administrative Law Judge Linda S. Crovella (“Decision”), dated September 29, 2023, pursuant to Section 227 of the Federal Maritime Commission’s (“Commission”) Rules of Practice & Procedure, 46 C.F.R. § 502.227.

The ILA incorporates the Brief of Complainant in Support of Jurisdiction over Respondents, FMC Docket No. 22-12, # 45 (“Jurisdiction Brief”), attached hereto and incorporated herein as **Exhibit A**, Complainant’s Proposed Findings of Fact, # 46 (“Complainant’s Facts”), attached hereto and incorporated herein as **Exhibit B**, and Complainant’s Reply Brief in Support of Jurisdiction, # 51 (“Reply Brief”), attached hereto and incorporated herein as **Exhibit C**, in support of its exceptions.¹

¹ Citations to the Complainant’s appendix in support of its Jurisdiction Brief and Reply Brief will be cited as CX_. Citations to a document in the record in Docket No. 22-12 will be cited as # _.

The ILA excepts to the following findings of fact and conclusions of law reached within the Decision:

**GENERAL EXCEPTIONS AND EXCEPTIONS TO
THE STANDARD OF REVIEW**

1. The ALJ erred as a matter of law and fact by finding that the ILA has not established jurisdiction over Respondents Gateway Terminals, LLC, (“Gateway”), Charleston Stevedoring Company, LLC, (“CSC”), Ports America Florida, Inc., (“Ports America”), Ceres Marine Terminals, Inc., (“Ceres”) and SSA Atlantic, LLC (“SSA”) (collectively, Respondents) because they are not marine terminal operators (“MTO(s)”) as that term is defined by 46 U.S.C. § 40102(15) and 46 C.F.R. § 525.1(c)(13). Decision p. 1, 24.

2. The ALJ’s Decision did not satisfy the requirements of 5 U.S.C. § 556(d) because the Decision wholly ignored the exhibits and sworn statements within the ILA’s affidavits and was reached upon an incomplete record consisting solely of documents voluntarily produced by Respondents. Decision p. 4; *see* Complainant’s Facts, ¶¶ 48-59, CX_001117-001143.

3. The ALJ erred as a matter of law by applying an improper standard of review to this proceeding.

4. The ALJ erred as a matter of law by applying the “preponderance of the evidence” standard to this proceeding because the ILA was not afforded a hearing in this matter. Decision p. 24; *see* Jurisdiction Brief, p. 8; Reply Brief, p 2-3.

5. The ALJ erred as a matter of law by misapplying the “preponderance of the evidence” standard to this proceeding, as the ALJ exclusively drew inferences from the limited factual record supporting Respondents’ position, and refusing to make any inference from the ILA’s affidavits or Complainant’s Facts which supported a finding of jurisdiction. Jurisdiction Brief, p. 8; Reply Brief, p. 2-3; CX_001117-001149.

6. The ALJ erred as a matter of law by refusing to grant the ILA a hearing in this matter.

7. The ALJ erred as a matter of law by refusing to grant the ILA a hearing in this matter when the records submitted by the ILA and Respondents created multiple genuine issue of fact that could not be resolved on the papers alone. Reply Brief, p. 18-23.

8. The ALJ erred as a matter of law and fact by concluding that the bifurcation issue and the ALJ's decision that the Commission lacks jurisdiction in this proceeding did not come within the context of a motion to dismiss, as the ALJ's conclusion on an incomplete record that Respondents are not MTOs resulted in the dismissal of the ILA's Amended Verified Complaint ("AVC"). Decision p. 24.

9. The ALJ erred as a matter of law by refusing to apply the motion to dismiss standard to evaluate whether the evidence, when viewed in the light most favorable to the ILA, could establish that any one of the Respondents was a MTO. Decision p. 24; Jurisdiction Brief, p. 10-11, 11-12, 13-18, 18-26; Complainant's Facts, ¶¶ 19-22 (discussing Respondents' stowage at the terminal); ¶¶ 23-36 (gate operations of Respondents); ¶¶ 37-47 (sole provision of essential services); ¶¶ 48-59 (provision of warehousing by CSC and Gateway); ¶¶ 60-69 (security and other services for operation of marine terminal).

10. The ALJ erred as a matter of law by imposing the burden of proof upon the ILA to prove that the Respondents were MTOs by the preponderance of the evidence before a full evidentiary hearing was held to determine Respondents' status as MTOs. Decision, p. 24.

11. The ALJ erred as a matter of law by refusing to apply the prima facie standard when reviewing the limited records submitted by the ILA opposing dismissal based on a lack of jurisdiction. *See id.*

12. The ALJ erred as a matter of law and fact by holding that the ILA cannot, as a remedy sought by the AVC, undue the agreements reached between the Respondents and the state ports authorities in the two ports. Decision p. 29.

13. The ALJ erred in law and fact by concluding that this proceeding does “not evaluate the propriety of an agreement under the Shipping Act.” Decision, p. 25, n. 2. The ILA’s first cause of action in the AVC alleges that Respondents’ operation without filing an agreement violated the Act. *See* 46 U.S.C. § 40301(b); 46 U.S.C. § 41102(b).

EXCEPTIONS TO SPECIFIC FINDINGS OF FACT BY THE ALJ

14. The ALJ erred as a matter of law and fact by concluding that the ILA does not represent any employees of Respondent Ports America, FL in the Ports of Savannah, GA or Charleston, SC. Decision, p. 4, ¶ 2.

15. The ALJ erred as a matter of law and fact by concluding that the private party Respondents entered a joint venture in Savannah, GA at the GPA’s recommendation and direction, Decision, p. 5, ¶ 6. The agreements between GPA and Respondents make clear that GPA and Gateway are not partners or agents of one another, nor do they have any legal relationship which bears on the Commission’s jurisdiction over Respondents. *See* Decision, p. 8, ¶¶ 27-28.

16. The ALJ erred as a matter of law and fact by concluding that GPA’s ownership of the gates in Savannah, GA prevent Gateway from controlling access to and from the marine terminal facilities. Decision p. 5, ¶ 8. By Respondents own admission, Gateway exclusively controls the gates in Savannah. CX_000134-35; Jurisdiction Brief, p. 13-18; Reply Brief, p. 6-11. General Counsel had concluded in 2019 that this fact alone was enough to establish jurisdiction over Gateway, but did not because at that time the joint venture was proposed to operate as one entity in the two ports. CX_000024.

17. The ALJ erred as a matter of law and fact by concluding that the private party Respondents entered a joint venture in Charleston, SC at the SCSPA's recommendation and direction, Decision, p. 5, ¶ 13. The agreements between SCSPA and Respondents make clear that GPA and Gateway are not partners or agents of one another and have no legal relationship which bears on the Commission's jurisdiction over Respondents. *See* Decision, p. 13, ¶ 53.

18. The ALJ erred as a matter of law and fact by concluding that CSC's payment for gate services by another joint venture prevented a conclusion that CSC controls the terminal gates in Charleston, SC. Decision p. 6, ¶¶ 14-16; CX_000134-35; Jurisdiction Brief, p. 13-18, Reply Brief, p. 6-11. The fee arrangements between CSC and the ocean carriers shows that a gate fee is charged by CSC and paid to CSC for an ocean carrier's use of the gates. CX_000245-63; CX_000556-84.

19. The ALJ erred as a matter of law and fact by concluding that Charleston Gate was formed for the purposing of hiring and managing labor to perform, at the Port of Charleston, "certain functions known as 'TIR Functions,' which primarily involve checking containers into and out of the Port and assigning temporary storage locations for each container." Decision p. 6, ¶ 16.

20. The ALJ erred as a matter of law and fact by concluding that the statement in the Gateway-GPA agreements that GPA is a marine terminal operator prevented the conclusion that Gateway is also a marine terminal operator. Decision p. 8-9, ¶ 31; Jurisdiction Brief, p. 13-18, Reply Brief, p. 6-11; Complainant's Facts, ¶¶ 23-36.

21. The ALJ erred as a matter of law and fact by concluding that the services provided by Respondents prior to the formation of the joint ventures and presently in the two ports were limited to stevedoring services. Decision, p. 6, ¶¶ 20-22.

22. The ALJ erred as a matter of law and fact by concluding that the statements in the Gateway-GPA agreements and the ALJ's findings of fact pertaining to Gateway's operations do not support a finding of Gateway's plenary control over operations in the Port of Savannah to an extent that Gateway provides marine terminal facilities within the Port. Decision p. 8-12, ¶¶ 23-46; Jurisdiction Brief, p. 18-26; Complainant's Facts, ¶¶ 19-22 (discussing Respondents' stowage at the terminal); ¶¶ 23-36 (gate operations of Respondents); ¶¶ 37-47 (sole provision of essential services); ¶¶ 48-59 (provision of warehousing by CSC and Gateway); ¶¶ 60-69 (security and other services for operation of marine terminal).

23. The ALJ erred as a matter of law and fact by concluding that Respondent Gateway does not control the marine terminal gates. Decision p. 11-12, ¶¶ 41-46. The ILA's witnesses stated otherwise in their own affidavits. CX_001117-001143; CX_001144-001149.

24. The ALJ erred as a matter of law by resolving a genuine issue of material fact at this state of the proceeding. Decision p. 11-12, ¶¶ 41-16.

25. The ALJ erred as a matter of law and fact by concluding that the statements within the Gateway-GPA agreements that GPA will review the rates and schedules set by Gateway and charged to carriers has any bearing on Gateway's status as a MTO because the conclusion is not supported by any prior Commission decision or the facts. Decision p. 9-10, ¶¶ 33-36; Jurisdiction Brief, p. 13-18; Reply Brief, p. 6-11; Complainant's Facts, ¶¶ 23-36.

26. The ALJ erred as a matter of law and fact by concluding that Gateway's ability to store equipment and break bulk cargo on the terminal, with input from GSA, was not evidence of Gateway supplying terminal facilities to common carriers. Decision p. 10, ¶ 37; CX_000637; CX_000718; CX_000784; CX_000930; Complaint's Facts, ¶¶ 19-22, ¶¶ 48-59.

27. The ALJ erred as a matter of law and fact by concluding that Gateway's control of the terminal gates and collection of fees for a common carrier's use of those gates did not confer MTO status upon Gateway. Decision p. 11, ¶¶ 39-43; Jurisdiction Brief, p. 13-18; Reply Brief, p. 6-11; Complainant's Facts, ¶¶ 23-36.

28. The ALJ erred as a matter of law and fact by concluding that Gateway could not condition access to terminal facilities based upon the payment of a fee for their essential gates services. Decision p. 12, ¶¶ 44-46.

29. The ALJ erred as a matter of law and fact by concluding without any evidence in the record that Gateway is without authority to turn away a carrier or trucker for failure to pay gate service fees to Gateway and that Gateway is without authority to refuse entry to trucks or cargo on economic or commercial grounds. Decision p. 12, ¶¶ 44-46. Sworn testimony of the ILA's witnesses indicated otherwise. CX_001117-001143; CX_001144-001149.

30. The ALJ erred as a matter of law by concluding that the state ports authorities' decision to suggest to Respondents that they implement a joint venture (CSC in Charleston, SC and Gateway in Savannah, GA) in the two Ports, Decision p. 12, ¶ 49, has any relevance on whether the Commission has jurisdiction over Respondents. Decision p. 30.

31. The ALJ erred as a matter of law and fact by concluding from the language within the SCSPA-CSC agreement that CSC does not in fact control the marine terminal to the extent that it provides marine terminal facilities to common carriers, see Decision p. 12-13, ¶¶ 50-52, when the record before the ALJ indicated further control of the terminal by Respondent CSC. Jurisdiction Brief, p. 18-26; Complainant's Facts, ¶¶ 19-22 (discussing Respondents' stowage at the terminal); ¶¶ 23-36 (gate operations of Respondents); ¶¶ 37-47 (sole provision of essential

services); ¶¶ 48-59 (provision of warehousing by CSC and Gateway); ¶¶ 60-69 (security and other services for operation of the marine terminal).

32. The ALJ erred as a matter of law and fact by concluding that by licensing or leasing terminal space to CSC, Decision p. 15-16, ¶¶ 56-61, for the purposes of stevedoring has any bearing on whether CSC does not in fact provide other essential marine terminal facilities or otherwise possesses control over the marine terminal as an MTO on an incomplete record. Complainant's Facts, ¶¶ 48-59; Jurisdiction Brief, p. 18-26; Reply Brief, p. 11-17.

33. The ALJ erred as a matter of law and fact by concluding that the statements from the CSC-SCSPA Agreements and the ALJ's additional findings of fact pertaining to CSC's operations do not support a finding of plenary control the marine terminals in Charleston, SC to the extent that CSC provides marine terminal facilities in the Port. Decision p. 12-16, ¶¶ 49-63; Jurisdiction Brief, p. 18-26; Complainant's Facts, ¶¶ 19-22 (discussing Respondents' stowage at the terminal); ¶¶ 23-36 (gate operations of Respondents); ¶¶ 37-47 (sole provision of essential services); ¶¶ 48-59 (provision of warehousing by CSC and Gateway); ¶¶ 60-69 (security and other services for operation of the marine terminal).

34. The ALJ erred as a matter of law and fact by concluding that the Charleston Gate Company controls terminal gate operations on the landed side of the terminal as this was a material disputed fact. Decision p. 17, ¶¶ 65-66; CX_001117-001129 (affidavits stating CSC directs employees who operate the terminal gates); CX_000245-63; CX_000556-84.

35. The ALJ erred as a matter of law and fact by concluding that CSC's control over the gates and assessment of gate fees to common carriers and truckers, Decision p. 17, ¶¶ 67-69, did not confer MTO status upon CSC. Jurisdiction Brief, p. 13-18; Reply Brief, p. 6-11; Complainant's Facts, ¶¶ 23-36; CX_001117-001129; CX_001144-001149.

36. The ALJ erred as a matter of law and fact by concluding that there was not any evidence in the record that CSC is without authority to turn away a carrier or trucker for failure to pay gate service fees or any other rate or fee to CSC and that CSC is without authority to refuse entry to trucks or cargo on economic or commercial grounds. Decision p. 18, ¶¶ 72-73; CX_001117-001129.

37. The ALJ erred as a matter of law and fact by concluding that CSC could not condition access to terminal facilities based upon the payment of a fee for their essential gates services. Decision p. 17, ¶¶ 65-73.

38. The ALJ erred as a matter of law and fact by refusing to consider the Respondents' own characterizations of the Respondents' operations as MTOs in Respondents' 2019 submissions to the Commission while simultaneously adopting the General Counsel's conclusion from 2019 that the Commission lacked jurisdiction over Respondents. See Decision p. 21-23, ¶¶ 83-85; Decision p. 29; CX_000134-35.

39. The ALJ erred as a matter of law and fact by refusing to consider the Respondents' own explanations of their facilities rendered in the Ports of Charleston, SC and Savannah, GA in their 2019 submissions to the Commission which the ILA demonstrated in this proceeding continues to reflect current operations in the two Ports. Decision p. 29; CX_000160-174; Jurisdiction Brief, p. 15-18.

40. The ALJ erred as a matter of law by failing to define what the Commission defines to be stevedoring. Decision, p. 36.

41. The ALJ erred as a matter of law by concluding that Respondents do not exercise sufficient control over terminal facilities in the Ports of Savannah and Charleston to confer MTO status upon Respondents. Decision 4-22, ¶¶ 1-85.

42. The ALJ erred as a matter of law by concluding that Gateway does not exercise sufficient control over terminal facilities in the Port of Savannah to confer MTO status upon Gateway. Decision 4-22, ¶¶ 1-85.

43. The ALJ erred as a matter of law by concluding that CSC does not exercise sufficient control over terminal facilities in the Port of Charleston to confer MTO status upon CSC. Decision 4-22, ¶¶ 1-85.

44. The ALJ erred as a matter of law by ruling that the Respondents' overarching coordination with the state port authorities in the two ports cannot support a finding of control over those marine terminal facilities. Decision 4-22, ¶¶ 1-85; Decision, p. 36-37. In most areas of the marine terminal, Respondents either have primary control of the operation (vessel operations, stowage, gate operations, location assignment of the cargo after discharge from the vessel, and movement of the cargo to and from the vessel to the stacking area, from stacking area to trucks, etc.) or are given input on the areas within the Port Authorities' control (berthing assignments, where the containers are stacked or stored in the yard, etc.). CX_000264-65; Mosley Decl. ¶¶ 9-23; Sims Decl. ¶¶ 9-21; Brave Decl. ¶ 22; McLaughlin Decl. ¶¶ 9-16. This level of integration and coordination between Respondents and the Port Authorities in terminal operations demonstrates Respondents' shared control over the terminal facilities in the Ports and it was error for the ALJ to resolve this disputed fact in favor of the Respondents on the papers alone.

45. The ALJ erred as a matter of law and fact by ruling that Respondents' use of terminal yard space for stowage of cargo and equipment cannot demonstrate control over marine terminal facilities. Decision, p. 37; CX_001117-001143.

46. The ALJ erred as a matter of law by ruling that Respondent SSA's offering of warehousing does not confer MTO status upon Respondent SSA. Decision, p. 37; Complainant's Facts, ¶ 56.

47. The ALJ erred as a matter of law by ruling that Respondent Ceres's offering of services to cruise ships does not confer MTO status upon Respondent Ceres. Decision, p. 37.

48. The ALJ erred as a matter of law and fact in each Finding of Fact to the extent the ALJ concluded that the evidence did not support a finding that Respondents were MTO within the meaning of the Act. Decision 4-22, ¶¶ 1-85.

EXCEPTIONS TO THE ALJ'S CONCLUSIONS REGARDING THE ANALYSIS OF THE PARTIES' ARGUMENTS

49. The ALJ erred as a matter of law and fact by concluding that PAF, SSA, and Ceres display less control over terminal facilities than Gateway or CSC.

50. The ALJ erred as a matter of law and fact by concluding that Respondents exercise control only to the extent permitted by the state ports authorities and by concluding that whether the Respondents' exercise of control is granted to them by the state ports authorities within the agreements between the parties bears on the analysis of whether Respondents are MTOs within the meaning of the Act, as there are no Commission decisions to support this conclusion. Decision p. 30. The record the ILA has submitted in this proceeding shows that at the very least, Respondents share control of terminal facilities with the state ports authorities, and dismissal of the AVC without a full hearing and full record to evaluate the level of control was error. Jurisdiction Brief, p. 10-11, 11-12, 13-18, 18-26; Complainant's Facts, ¶¶ 19-22 (discussing Respondents' stowage at the terminal); ¶¶ 23-36 (gate operations of Respondents); ¶¶ 37-47 (sole provision of essential services); ¶¶ 48-59 (provision of warehousing by CSC and Gateway); ¶¶ 60-69 (security and other services for operation of marine terminal).

51. The ALJ erred as a matter of law and fact by finding that the state ports authorities' retention of control within the agreements between them and the Respondents bears on the analysis of whether Respondents are MTOs within the meaning of the Act, as there are no Commission decisions which state that Respondents and the state ports authorities cannot both be MTOs operating within their respective Ports. Decision p. 30; Jurisdiction Brief, p. 10-11, 11-12, 13-18, 18-26; Reply Brief, p. 6-11, 11-17.

52. The ALJ erred as a matter of law and fact by concluding that the GPA-Gateway Agreement consistently subjects Gateway to the authority of GPA, including the ALJ's findings with respect to GPA's authority over pricing, rates, schedules, and metrics. Decision pp. 30-31.

53. The ALJ erred as a matter of law and fact by to the extent the ALJ found that Gateway provides no security services at the gates, that Gateway provides access to the terminals at the gates pursuant to GPA's authority, and that Gateway lacks control over the access to the gates. Decision p. 31.

54. The ALJ erred as a matter of law and fact by concluding that Gateway has not been shown to have any kind of authority to exclude truckers or carriers for failure to pay fees or that Gateway has not been shown to have so acted. Decision p. 31; CX_000134-000135; CX_001117-001149.

55. The ALJ erred as a matter of law and fact by concluding that Gateway is a third-party service provider. Decision p. 31; CX_000245-63; CX_000556-84.

56. The ALJ erred as a matter of law and fact by concluding that CSC is not the exclusive provider of gates services in the Port of Charleston. Decision p. 31; CX_000245-63; CX_000556-84.

57. The ALJ erred as a matter of law and fact by concluding that the relevant agreements make clear that CSC is subject to the authority of CSC with respect to the gates and other terminal facilities, including the ALJ's findings with respect to scheduling, general rules and regulations, ownership, safety, and security. Decision p. 31.

58. The ALJ erred as a matter of law and fact by concluding that CSC has not been shown to have any kind of authority to exclude truckers or carriers for failure to pay fees or that CSC has not been shown to have so acted. Decision p. 31.

59. The ALJ erred as a matter of law and fact by concluding that CSC is a third-party service provider. Decision p. 31.

60. The ALJ erred as a matter of law and fact by concluding that neither Gateway nor CSC control access to private facilities to enforce their charges. Decision p. 32.

61. The ALJ erred as a matter of law and fact by concluding that both Gateway and CSC have authority to "invoice" but not to exclude based on failure to pay such invoices. Decision p. 32.

62. The ALJ erred as a matter of law and fact by concluding that Gateway and CSC do not control access to private facilities pursuant to the *Plaquemines* decisions. Decision p. 32.

63. The ALJ erred as a matter of law and fact by concluding that there has been not showing that any of Respondents have the ability or authority, or have even attempted, to control access to private facilities to enforce their charges. Decision p. 33; Decision p. 18, ¶¶ 72-73; CX_001130-001144.

64. The ALJ erred as a matter of law and fact to the extent the ALJ concludes that proof that the Respondents have attempted to enforce their gate services charges is a requirement for jurisdiction under the Act and Commission precedent and by placing undue emphasis on the

Respondents' enforcement of their charges as it relates to Respondents' ability to control access to private facilities. Decision p. 33; Decision p. 18, ¶¶ 72-73; CX_001130-001149.

65. The ALJ erred as a matter of law and fact by confusing the Respondents' control over the gates and terminal security services with evidence that they have exercised such control. Decision p. 33.

66. The ALJ erred as a matter of law and fact by concluding that the ILA has not met its burden and/or has not provided supported proof that the Respondents can condition or restrict access to private terminal facilities upon payment of their gate services fees. Decision p. 33; CX_001130-001149.

67. The ALJ erred as a matter of law and fact by concluding that Gateway and CSC have not been shown to evidence the significant level of control required to establish jurisdiction under the Act pursuant to relevant case law. Decision p. 33.

68. The ALJ erred as a matter of law and fact by concluding the agreements between the Respondents and the state ports authorities show that Gateway and CSC do not retain sufficient control over terminal facilities to confer jurisdiction under the Act. Decision p. 33.

69. The ALJ erred as a matter of law and fact by concluding that Respondents Gateway and CSC do not retain or exercise plenary control over the marine terminals in the two ports to the extent required to confer jurisdiction over the Respondents. Decision, pp. 33-34. Decision p. 12-16; Jurisdiction Brief, p. 18-26; Complainant's Facts, ¶¶ 19-22 (discussing Respondents' stowage at the terminal); ¶¶ 23-36 (gate operations of Respondents); ¶¶ 37-47 (sole provision of essential services); ¶¶ 48-59 (provision of warehousing by CSC and Gateway); ¶¶ 60-69 (security and other services for operation of marine terminal).

70. The ALJ erred as a matter of law and fact by concluding that Respondents Gateway and CSC do not exercise plenary control over the marine terminals in the two ports to the extent required to demonstrate that Respondents Gateway and CSC provide marine terminal facilities to the ocean carriers. Jurisdiction Brief, p. 18-26; Complainant's Facts, ¶¶ 19-22 (discussing Respondents' stowage at the terminal); ¶¶ 23-36 (gate operations of Respondents); ¶¶ 37-47 (sole provision of essential services); ¶¶ 48-59 (provision of warehousing by CSC and Gateway); ¶¶ 60-69 (security and other services for operation of marine terminal).

71. The ALJ erred as a matter of law and fact by concluding that Gateway and CSC do not have, and have not exercised, *de facto* control of marine terminal facilities, including the ALJ's findings with respect to rules and procedures, MTO tables, and pricing. Decision pp. 33-34.

72. The ALJ erred as a matter of law and fact by concluding that the Respondents are not MTOs under *Plaquemines*, including the ALJ's findings with respect to Respondent's authority to exclude entry to port facilities, Respondents' control over port facilities as service providers and the decision to institute an exclusive container vessel stevedoring provider in the ports, Respondents' exclusive gate services, and Respondents as third-party service providers. Decision p. 34.

73. The ALJ erred as a matter of law and fact by concluding that it was noteworthy that the record, which has not been fully developed in discovery, contains no complaints from truckers or ocean carrier regarding stevedoring or gate fees, stevedoring or gate practices, or any lack of access to any facilities in the ports. Decision pp. 34-35. The ILA is permitted under the Act to bring its claims before the Commission (claims which have passed multiple motions to dismiss) and the ILA should not be prejudiced because of the actions of non-parties to this proceeding. Decision p. 34.

74. The ALJ erred as a matter of law and fact by concluding that the state port authorities and Respondents cannot share control over terminal facilities in a manner that confers MTO status to Respondents. Decision p. 35.

75. The ALJ erred as a matter of law and fact by concluding that the ILA has not established that the relevant facilities were provided in connection with a common carrier. Decision p. 35. Nor is there any contention from Respondents that any such facilities were not provided in connection with common carriers. Decision p. 35.

76. The ALJ erred as a matter of law and fact by concluding that jurisdiction cannot be supported based on the Respondents' exclusive provision of stevedoring under *Petchem* and *Canaveral Port Authority*. Decision p. 35-36.

77. The ALJ erred as a matter of law and fact by concluding that the interconnected relationship between Respondents and the state ports authorities is not evidence of control over terminal facilities and by concluding that Respondents' control over marine terminal facilities is limited to their "designated and limited functions." Decision p. 36.

78. The ALJ erred as a matter of law and fact by concluding that the fact of Respondents' control over off-pier warehouses, office space, training areas, yard space, and other marine terminal facilities is not evidence of Respondents' control over marine terminal facilities to confer jurisdiction under the Act. Decision p. 37.

79. The ALJ erred as a matter of law and fact by concluding that Respondent Gateway is not an MTO within the meaning of the Act after recognizing that Gateway exclusively controls gate services in the Port of Savannah, GA. Decision p. 30; Jurisdiction Brief, p. 13-18; Complainant's Facts, ¶¶ 23-36.

80. The ALJ erred as a matter of law and fact by finding that the ILA failed to demonstrate MTO status because the ILA failed to submit evidence that Gateway has barred or instructed the state port authority to bar truckers or carriers from the gates within the Port. Sworn affidavits of the ILA's witnesses stated otherwise. Decision p. 30; Decision p. 18, ¶¶ 72-73; CX_001130-001144.

81. The ALJ erred as a matter of law and fact by finding that the ILA failed to demonstrate MTO status because the ILA failed to submit evidence that CSC has barred or instructed the state port authority to bar truckers or carriers from the gates within the Port. Sworn affidavits of the ILA's witnesses stated otherwise. Decision p. 30; CX_001117-001129; CX_001144-49.

**EXCEPTIONS TO THE ALJ'S APPLICATION
OF PRIOR COMMISSION DECISIONS
TO THE FACTS IN THE RECORD**

82. The ALJ misapplied precedent in concluding that Gateway's control over essential gates services and its ability to condition access to terminal facilities upon payment of a fee for such gates services did not confer jurisdiction upon Gateway.

83. The ALJ misapplied precedent in concluding that CSC's control over essential gates services and its ability to condition access to terminal facilities upon payment of a fee for such gates services did not confer jurisdiction upon CSC.

84. The ALJ misapplied precedent in concluding that Gateway does not exercise sufficient control over terminal facilities (gates, stowage, storage, loading areas on the terminal, yard space, office buildings, equipment, etc.) to confer jurisdiction upon Gateway.

85. The ALJ misapplied precedent in concluding that CSC does not exercise sufficient control over terminal facilities (gates, stowage, storage, loading areas on the terminal, yard space, office buildings, equipment, etc.) to confer jurisdiction upon CSC.

86. The ALJ misapplied precedent in concluding that Gateway's exclusive provision of essential stevedoring services to common carriers did not confer jurisdiction over Gateway.

87. The ALJ misapplied precedent in concluding that CSC's exclusive provision of essential stevedoring services to common carriers did not confer jurisdiction over CSC.

88. The ALJ erred as a matter of law by failing to apply the Commission's prior decisions, which state that when a carrier must use a specific vendor for essential services, that vendor is a MTO, to the present dispute. Decision p. 32, ll. 31-32; Jurisdiction Brief, p. 11-13, 18-26; Rely Brief, p. 11-12.

89. The ALJ misapplied *Louis Dreyfus Corp. v. Plaquemines Port Harbor & Terminal Dist.*, Docket No. 79-45, 25 F.M.C. 73, 21 S.R.R. 219 (ALJ Nov. 17, 1981) ("*Plaquemines - ALJ*"), *Louis Dreyfus Corp. v. Plaquemines Port Harbor & Terminal Dist.*, Docket No. 79-45, 25 F.M.C. 59, 66-67, 21 S.R.R. 1072, 1080 (FMC July 30, 1982) ("*Plaquemines - FMC*"), *New Orleans Steamship Assoc. v. Plaquemines Port, Harbor & Terminal Dist.*, Docket No. 83-2, 1986 WL 170020, at *5 (FMC Sept. 16, 1986) ("*Plaquemines II - FMC*"), *Plaquemines Port, Harbor & Terminal Dist. v. FMC*, 838 F.2d 536, 543 (D.C. Cir. 1988), and *Petchem v. Canaveral Port Authority*, Docket No. 84-28, 1986 WL 170038 (FMC Mar. 28, 1986) (aff'd sub nom. *Petchem v. FMC*, 853 F.2d 958 (D.C. Cir 1988)) to the present dispute. Each decision recognizes that when, as here, the use of a certain vendor for an essential marine terminal service is required for entry into or use of a marine terminal, that vendor is a MTO. Decision, p. 26-27, Jurisdiction Brief, p. 11-13, 18-26; Rely Brief, p. 11-12.

90. The ALJ misapplied *Puerto Rico Ports Auth. v. FMC*, 919 F.2d 799 (1st Cir. 1990) to the Respondents because the AVC does not allege that the Respondents provide “general harbor services.” Decision, p. 28.

91. The ALJ misapplied the *Plaquemines* line of decisions to the present facts, because the ILA was not given the opportunity to demonstrate actual control over the marine terminal gates by any Respondents under the incomplete record reviewed by the ALJ, and it was error to require such a showing to avoid dismissal under an incomplete record and under the pertinent standard of review. Decision, p. 29, Jurisdiction Brief, p. 3-8; ILA Reply Brief, p. 18-23. Still, on the limited record, there was ample evidence that Respondents CSC and Gateway do control the marine terminal gates in both ports. CX_000245-63 (CSC’s rate agreements with the container shipping lines showing that CSC bills the carriers directly for gate services); CX_001117-001149. There was also ample evidence that Respondents are the sole providers of essential services and that the use of Respondents for such services is condition precedent to access to either ports’ terminal facilities. Jurisdiction Brief, p. 11-13, 18-26; Rely Brief, p. 11-12.

92. The ALJ has misapplied *Plaquemines* and other Commission decisions because none of the decisions relied on by the ALJ hold that Respondents and the state ports authorities cannot simultaneously be MTOs operating in each Port. The ALJ likewise erred as a matter of law by concluding that “the entity deemed to have ‘furnished’ terminal facilities in *Petchem* and *Canaveral Port Authority* is not the analog to the Respondent joint ventures – Gateway and CSC— but rather is the analog to the Port Authorities – GPA and SCPA.” Decision, p. 36. Nothing in the Commission’s prior decisions lead to a conclusion that there cannot be more than one MTO in a given port.

93. The ALJ erred as a matter of law by concluding that jurisdiction cannot be conferred solely due to Respondents' functioning as sole stevedores in the two Ports under *Canaveral Port Authority*, 2003 WL 21551810, at *5 (emphasis added) because of the ALJ's misapplication of *Plaquemines* and other Commission decisions. Decision, p. 35. Respondents are the "exclusive providers" of stevedoring services at Wando Welch, North Charleston, and Leatherman Terminals in Charleston, and at Garden City and Ocean Terminals in Savannah. CX_000204; CX_000212; CX_000221; CX_000390; CX_000441; CX_000587. They are now the only option in each port. See CX_000221; CX_000587. As a result, the carriers' access to these terminals is conditioned upon whether or not the carrier agrees to contract with Respondents. See CX_000245-63; CX_000556-84.

**EXCEPTIONS TO THE ALJ'S RULINGS ON
THE ILA'S DISCOVERY OBJECTIONS AND THE LACK OF A COMPLETE
FACTUAL RECORD**

94. The ALJ's conclusion that the ILA obtained sufficient discovery from Respondents, despite the ILA's specific request for information concerning Gateway's and CSC's correspondence with ocean carrier customers and trucking customers, which could have revealed procedures for when a trucker or common carrier fails to pay its gate fees or could have revealed Respondents' refusal to admit a customer through the terminal gates, was erroneous. See Decision p. 22; Jurisdiction Brief, p. 3-8; Reply Brief, p. 18-23; CX000037-46, 000143-56 (illustrating Respondents' refusal to engage in electronic discovery with Complainant, despite Complainant's repeated efforts to meet and confer to discovery terms which could discover documents which tend to show jurisdiction). By denying the ILA this discovery, the ILA and Commission are forced to take Respondents word that no such documents exist, and dismissal of the AVC on this incomplete record was error by the ALJ and prejudicial to the ILA.

95. The ALJ's conclusion that the ILA was specifically allowed, and has received, discovery "limited to how the subject terminals operate at the two ports in question" is both a legal and factual error inasmuch as the conclusion overlooks the fact that the correspondence and electronic discovery sought from Respondents but never produced by Respondents can more fully illustrate how the subject terminals operate at the two ports in question. *See* Decision p. 22; Jurisdiction Brief, p. 3-8; Reply Brief, p. 18-23; CX000037-46, 000143-56.

96. The ALJ's conclusion that Respondents' refusal to provide correspondence or to confer in good faith to develop mutually agreeable electronic search terms to the ILA's proposed electronic discovery requests did not have a "detrimental impact" on the ILA is both a legal and factual error as the ALJ has concluded on an incomplete record that the Commission lacks jurisdiction over Respondents, resulting in dismissal of the AVC. *See* Decision p. 22; Jurisdiction Brief, p. 3-8; Reply Brief, p. 18-23; CX000037-46, 000143-56.

97. The ALJ has also erred as a matter of law and fact by concluding that because the ILA was not given documents by Respondents showing Respondents' ability to restrict access to the marine terminals—with or without the state port authorities' assistance—that Respondents do not in fact possess such control and presupposes that no documents illustrating such control exists. Decision p. 33-34; Jurisdiction Brief, p. 3-8; Reply Brief, p. 18-23; CX000037-46, 000143-56.

98. The ALJ erred as a matter of law and fact by finding it "noteworthy that the record contains no complaints from truckers or ocean carriers regarding stevedoring or gate fees, stevedoring or gate practices, or any lack of access to any facilities at the Port of Savannah or the Port of Charleston" on the incomplete record before the ALJ, limited by the documents Respondents **chose to produce** over the ILA's objections to Respondents and the ALJ within its briefs, and that such complaints could have been disclosed in the correspondence sought by the

ILA that Respondents never produced. Decision, p. 34, Jurisdiction Brief, p. 3-8; Reply Brief, p. 18-23; CX000037-46, 000143-56.

99. The ALJ erred as a matter of law and prejudiced the ILA in this proceeding by concluding in her March 9, 2023 Order that the proceeding should be bifurcated while issuing a prior restraint on the ILA from filing discovery motions in response to the Respondents' refusal to engage in electronic discovery. # 39, p. 6 ("No discovery motions will be permitted on the jurisdictional issue and any objections to discovery issues should be addressed in the parties' briefs.").

100. The ALJ erred as a matter of law and prejudiced the ILA by then failing to consider the ILA's arguments regarding the Respondents' refusal to engage in electronic discovery in their briefs. Jurisdiction Brief, p. 3-8; Reply Brief, p. 18-23; CX000037-46, 000143-56.

101. The ALJ erred as a matter of law by concluding that the ILA had notice that Respondent Ports America did not operate in the Port of Charleston, SC or Savannah, GA. Decision, p. 23.

102. The ALJ erred as a matter of law by concluding that based upon this knowledge, the ILA was not entitled to any discovery from a Ports America entity, even though settled law interpreting the Federal Rules of Civil Procedure, *see* 46 C.F.R. 502.012 (Commission must follow FRCP when it is consistent with the Commission's practice), holds that Respondent Ports America had an obligation to respond to the ILA's Requests for Production of Documents with any documents within their control. Decision, p. 23; Jurisdiction Brief, p. 3-8; Reply Brief, p. 18-23; CX000037-46, 000143-56.

103. The ALJ erred as a matter of law and fact by concluding that none of the documents in Ports America's possession or control could have affected the outcome of this proceeding. Decision, p. 23; Jurisdiction Brief, p. 3-8; Reply Brief, p. 18-23; CX000037-46, 000143-56.

EXCEPTIONS TO DECISION TO BIFURCATE

104. The ALJ erred as a matter of law by electing to bifurcate this proceeding. Opp. to Respondent's Motion to Bifurcate the Proceeding, # 38.² In the sole other proceeding in which an Administrative Law Judge ruled to bifurcate between jurisdiction and merits-based proceedings, the Commission reversed that Decision. *See id.*, p. 4.

105. The ALJ erred as a matter of law by misapplying the standard set forth by the Federal Rules of Civil Procedure Rule 42(b) when determining whether to bifurcate this proceeding. *See id.*, p. 2-3.

106. The ALJ's conclusion to bifurcate this proceeding was prejudicial to the ILA and wasteful of the Commission's and the ILA's time and resources. *See id.*, p. 5-9.

SPECIFIC EXCEPTIONS PERTAINING TO THE PROPOSED ORDER

107. The ALJ erred in her proposed order by concluding the Commission does not have jurisdiction over any or all Respondents.

108. The ALJ erred in her proposed order by dismissing the AVC against the Respondents.

109. The ALJ erred in her proposed order by dismissing the AVC against the Respondents with prejudice and without granting leave to amend.

110. The ALJ erred in her proposed order by recommending that this proceeding be discontinued.

² The ILA could not appeal this decision, Docket No. 22-12, # 39, when it was issued because it was not dispositive. *See* 46 C.F.R. § 502.227.

111. The ILA objects to the ALJ's proposed order in its entirety.

Dated: October 22, 2023
New York, New York

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 22nd day of October, 2023.

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Dated: October 22, 2023
New York, New York

/s/Nicholas M. Graziano
Nicholas M. Graziano

EXHIBIT A

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

-----	X	
INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
-----	X	

**BRIEF OF COMPLAINANT INTERNATIONAL LONGSHOREMEN’S ASSOCIATION
IN SUPPORT OF THE COMMISSION’S JURISDICTION OVER RESPONDENTS**

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INTRODUCTION

The International Longshoremen’s Association (“ILA”) submits this brief to show that the Federal Maritime Commission (“Commission”) has personal jurisdiction over Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“Ports America”),¹ SSA Atlantic, LLC (“SSA”), and Ceres Marine Terminals, Inc. (“Ceres”) (collectively, “Respondents”), insofar as they are—or at a relevant time were—marine terminal operators, as that term is used in the Shipping Act of 1984, as amended (the “Shipping Act” or “Act”), within the ports of Charleston and Savannah (the “Ports”).

ALJ Linda S. Harris Crovella entered an Order on March 9, 2023, granting Respondents’ motion to bifurcate this proceeding into a jurisdictional phase and a merits phase. CX_000001.² Accordingly, this brief will show that the Commission has jurisdiction over Respondents as marine terminal operators (“MTOs”) because Respondents furnish wharfage, dock, warehouse, and other terminal facilities (1) by conditioning access to terminal facilities upon payment of fees for their stevedoring/checking and gate operation services; and (2) by sharing operational control over the Ports’ terminal facilities with the Georgia Ports Authority (“GPA”) and South Carolina State Ports Authority (“SCSPA,” together with GPA, the “Ports Authorities”).

¹ Ports America Florida, Inc. was named as a respondent in this case because the publicly disclosed proposed joint venture agreement (Agreement 2011293) included that entity as a contracting party. See CX_001101. Discovery has revealed, however, that another Ports America affiliate has been a marine terminal operator in the Ports for years and is currently the contracting party in the joint ventures as actually implemented. Regardless, this brief will show that all the contracting parties were marine terminal operators in the Ports at all relevant times before and after the joint venture. This brief will use the term “Ports America” to include the Ports America affiliate operating in Savannah and Charleston.

² Reference to the Appendix, submitted herewith, will be cited as “CX ____.”

PROCEDURAL POSTURE

In their initial May 9, 2022 motion to dismiss, Respondents submitted a letter from the Office of General Counsel opining that the Parties to FMC Agreement No. 2019-06783 “do not appear to be marine terminal operators (MTOs) as defined by the Shipping Act of 1984, and that this agreement therefore falls outside of the Commission’s jurisdiction.” CX_000021. The August 6, 2019 opinion letter from General Counsel’s Office expressly states that the opinion is not binding on the Commission. CX_000025.

On January 23, 2023, Respondents filed its fourth motion to dismiss, asking for bifurcation of the proceeding into a jurisdictional phase, followed by a hearing on the merits if necessary. Respondents asked that the Amended Verified Complaint (AVC) be dismissed if the ILA could not establish the Commission’s jurisdiction over Respondents. CX_000033 (After the bifurcated discovery, “Respondents anticipate submitting a narrowly-tailored motion for summary judgment based on a lack of personal jurisdiction.”).

ALJ Crovella granted this relief in the March 9, 2023 Order. CX_000001. The Order also specified that no discovery motions should be filed, but gave the ILA opportunity to argue in its brief any discovery issues and what outstanding discovery could show as it pertains to the Commission’s jurisdiction. CX_000006 (“No discovery motions will be permitted on the jurisdictional issue and any objections to discovery issues should be addressed in the parties’ briefs.”).

RESPONDENTS HAVE REFUSED TO PROVIDE NECESSARY DISCOVERY

Given that relevant discovery on Respondents' roles in Charleston and Savannah is almost all within Respondents' control, and given that the ILA's ability to move to compel was limited, Respondents used the situation to their advantage. Respondents dragged their feet producing any documents at all, and when pressed, finally produced only formal legal documents such as leases, licensing agreements, and other contracts. They failed to produce anything that would speak to the day-to-day operation of the terminals, such as correspondence, emails, phone records, payments, and invoices.

The ILA served its initial discovery demands on January 19, 2023, prior to the filing of the Parties' Joint Status Report. CX_000037. On February 21, 2023, Respondents served a detailed written response—but **no** responsive documents. CX_000047. Among other objections, Respondents stated, without any support, that they had no obligation to provide any documents until 30 days **after** the discovery period commenced on February 24, 2023. CX_000048. Regardless of the outcome on the motion to bifurcate, Respondents knew they would have, at a minimum, discovery obligations with respect to jurisdiction, thus giving Respondents more than two months to address the ILA's requests. Yet Respondents had still produced nothing until they were ordered to do so by this tribunal. CX_000006; CX_000158 (requiring Respondents to produce responsive documents by March 29, 2023). Even though Respondents told the ALJ in January 2023 that they were ready to produce the discrete set of documents that had been submitted to the Commission in 2019 during review of FMC Agreement No. 2019-06783, *see* CX_000033, Respondents refused to actually produce those document until forced, *see* CX_000158, eventually

producing the documents on March 27, 2023—more than two months after the initial document requests were served, *see* CX_000071.

Also, since serving its First Request for Documents, the ILA has repeatedly expressed its willingness to develop mutually agreeable search terms for electronic discovery for emails, and has proposed such search terms, and has offered twice to narrow those terms. *See* CX_000144; CX_000148; CX_000151. Yet Respondents have refused to engage with the ILA, stating that they had no intention to search **any** email database **at all**. *See* CX_000147; CX_000149. On April 17, 2023, the ILA again reiterated that it was amenable to meet and confer so that the parties could come to a workable agreement on narrowing the search terms proposed in the March 11, 2023 letter. CX_000148. The ILA asked in the alternative that that Respondents provide their own set of search terms (and records custodians) that they believe would be reasonable under the circumstances, but Respondents refused. CX_0001487-88. Likewise, Respondents have refused outright to produce any letters or correspondence in their possession. CX_000147-51.

On April 5, 2023, Respondents emailed that that “[Respondents] do not consider email correspondence is necessary at this stage when the jurisdictional documents [Respondents] have collected should be sufficient to establish that the FMC does not have jurisdiction over this dispute.” In other words, Respondents were only willing to produce selected documents that supported Respondents’ position. That is not how discovery works. *See* CX_000150.³

³ These concerns should obviously be read with ALJ Crovella’s March 9, 2023 and March 17, 2023 Orders in mind. *See* CX_000006; CX_000157. In the typical situation, the ILA would have sought to compel production of the jurisdictional documents it sought so that the Commission could determine what documents the ILA was entitled to review so that the present motion could be based on a full and complete record, but the ILA was barred from doing that.

The key issue of jurisdiction is whether Respondents operate the terminal or exercise control over the terminal. Despite what a contract might say, actual control is shown by day-to-day behavior. And the documents showing day-to-day operations are what has been withheld from Respondents' production. Moreover, to date, the ILA has only received documents from four of the five Respondents; the ILA has received nothing from Ports America at all. *See* CX_000146-47. As already described, *see supra* p. 1, fn. 1, the ILA named as a respondent the Ports America affiliate that was listed in the publicly disclosed agreement filed with the Commission. Evidently, this was not the actual affiliate that acted as a terminal operator in the Ports. Respondents' counsel has taken the position that because Ports America Florida, Inc., is not an entity that has actually operated within the Ports, Ports America has no obligation to search for or produce any documents within the possession of the Ports America entity that *does* operate in the Ports. *See* CX_000146-47.

However, the Federal Rules of Civil Procedure specify that a party must produce relevant documents or information that is within the party's "control." Fed R. Civ. P Rule 34(a). "Control" means the "ability to obtain documents upon demand." *United States ITC v. ASAT, Inc.*, 411 F. 3d 245, 278 (D.C. Cir. 2005); *In re NTL, Inc. Sec. Litig.*, 244 F.R.D. 179, 195 (S.D.N.Y. 2007) (defining control as the practical ability to obtain documents from a non-party to the action.)

When the ILA served its discovery request, it defined "Ports America" as follows: "Ports America means Ports America Florida, Inc., and any corporate parent, subsidiary, or affiliate that ever conducted business in the Ports of Charleston and Savannah during the relevant time period . . ." CX_000039. Thus, Ports America Florida was clearly made aware of the information that the ILA was looking for in discovery.

Yet when questioned by the ILA as to whether Ports America Florida had no “practical ability” to obtain discovery from its affiliates in Charleston and Savannah, Ports America’s counsel said that Ports America had not even **tried** to **obtain** such discovery, blaming the ILA for naming the wrong corporate entity. CX_000146. The reason the ILA named the entity that it did is because that is the entity **Ports America** chose to put on its public filing with the Commission. The ILA is unable to amend its complaint until it gets discovery, but now Ports America is deliberately withholding that discovery. *See id.*

The Commission should not countenance this gamesmanship. Respondents’ are demanding that the Commission divest itself of jurisdiction over the two largest ports in the Southeast United States,⁴ but they are demanding that this should happen on an incomplete record: a record that is incomplete **solely** because Respondents have refused to comply with their discovery obligation under the Federal Rules. Fed R. Civ. P Rule 34(a).

The March 9, 2023 Order asks the ILA to state what discovery is outstanding and describe what it would show. As the ILA stated in its March 11, 2023 letter, Respondents’ refusal to provide any correspondence whatsoever prevents discovery of evidence tending to show who has *de facto* control over various parts of the terminal. CX_000151. Despite what Respondent’s handpicked contracts and leases may say, control over the terminal is established by the facts elicited from day-to-day communications and operations.

Specifically, the ILA had sought correspondence between (1) Respondents and between Respondents and the Port Authorities concerning Respondents’ ability or authority to utilize,

⁴ If the Commission lacks jurisdiction over Respondents, it will lack jurisdiction over both ports altogether because the other terminal operators are state entities. *See Fed’l Maritime Comm’n v. South Carolina Ports Auth.*, 535 U.S. 743 (2002).

occupy or operate within, any property at marine terminals in the Ports; (2) between Respondents and common carriers concerning rates, fees, tariffs or charges quoted, charged, or billed to common carriers by Respondents in the Ports during the relevant time period; and (3) between Respondents and the Port Authorities concerning rates, fees, tariffs or charges quoted, charged, or billed to common carriers by Respondents in the Ports during the relevant time period.

The ILA believes that Respondents' communications with common carriers and ocean carriers concerning any rates and fees charged to the carriers by Respondents would demonstrate a level of control over the Ports' facilities possessed by Respondents beyond that of a typical stevedore. The ILA likewise believes that the communications between Respondents and the Ports Authorities could be similarly illustrative of the level of Respondents' involvement in marine terminal operations. Though some of the contracts and leases may have language that sheds light on this control, the ILA has no way to know the extent of Respondents control—or joint control over the marine terminals shared with the Ports Authorities—until the ILA has the opportunity to view these communications.

The ILA had also sought any vendor agreements within Respondents' control but has not received any agreements to date. These vendor agreements could show whether Respondents are responsible for maintaining the marine terminal, the spaces lease by Respondents from the Ports Authorities, and the warehouses and/or areas of the terminal yard leased from the Ports Authorities, and the extent of Respondents' involvement with the maintenance of the marine terminal.

Similarly, the ILA also sought documents and communications relating to any warehousing within the two Ports that were within Respondents' control. Though some of the lease and license agreements list warehousing services and show warehousing space leased by Respondents, Respondents have provided no documents which show communications between the carriers and

Respondents, or Ports Authorities and Respondents, concerning warehousing. Again, this discovery would show that Respondents offer marine terminal services to the carriers that call within the two Ports.

The same can be said for communications with the carriers relating to gate operations. Though the documents that were provided show that Respondents CSC and Gateway have control over the marine terminal and road side gates within the two terminals, communications and correspondence with carriers and shippers over access to the gates, and the fees and rates charged by Respondents for use of the gates, would also demonstrate Respondents' control.

LEGAL STANDARD

In cases such as this one, where jurisdiction is being decided based upon “affidavits and discovery materials without holding an evidentiary hearing,” the ILA has the burden of making out a *prima facie* showing of personal jurisdiction over Respondents. See *AT&T v. Compagnie Bruxelles Lambert*, 94 F. 3d 586, 588 (9th Cir. 1996). Dismissal is appropriate only if the plaintiff fails to make such a “*prima facie* showing of personal jurisdiction.” *Id.* (citations omitted). Thus, in determining whether the ILA has met its burden in this case, “conflicts between the facts contained in the parties’ affidavits must be resolved in [the ILA’s] favor for purpose of deciding whether a *prima facie* case for personal jurisdiction exists.” *Id.* citing *WNS, Inc. v. Farrow*, 884 F. 2d 200, 203 (5th Cir. 1989); see also *Kira Chen v. U.S. Sports Acad., Inc.*, 956 F. 3d 45, 51 (1st Cir. 2020) (court must use *prima facie* standard for personal jurisdiction unless the court holds “a full-blown evidentiary hearing”).

ARGUMENT

The Commission applies a two-part test to determine whether an entity meets the definition of a marine terminal operator under the Shipping Act: (1) if the entity furnishes wharfage, dock,

warehouse, or other terminal facilities; and (2) if the facilities are provided in connection with a common carrier. 46 U.S.C. § 40102(15). Since it can hardly be disputed that Respondents provide their services in connection with common carriers, this brief will focus only on the first prong of the test.

The critical factor in determining whether an entity “furnishes wharfage, dock, warehouse, or other terminal facilities” is the extent of the entity’s control and administration over terminal facilities and “the degree to which [its] involvement enables [it] to discriminate.” *Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Comm’n*, 838 F.2d 536, 541 (D.C. Cir. 1988), *affirming New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.*, 23 S.R.R. 1363 (FMC 1986) (“*Plaquemines II*”). Above all else, the statutory scheme of the Act “contemplates regulation of any entity if it exercises sufficient control over terminal facilities to have a discernible effect on the commercial relationship between shippers and carriers involved in that link in transportation.” *Plaquemines Port, Harbor & Terminal Dist.*, 21 S.R.R. 1072, 1079 (1982), *appeal dismissed*, No. 82-1941 (D.C. Cir. May 17, 1983) (“*Plaquemines I*”).

I.

RESPONDENTS CONTROL ACCESS TO THE PORT TERMINALS

In *Plaquemines II*, the D.C. Circuit affirmed the Commission’s ruling that the Plaquemines Port Harbor and District was a MTO within the meaning of the Act, stating:

We agree with the FMC that the Port's combination of offering essential services and controlling access to the private facilities amounts to the furnishing of terminal facilities. Like the FMC, we read the purpose of the relevant portions of the 1916 Act, and its successor, the 1984 Act, to be the prevention of discrimination in the provision of terminal facilities. Ownership or operation of terminal facilities is not a necessary prerequisite to the ability to discriminate. Thus, the critical issue for jurisdiction is that the degree of the Port's involvement enables the Port to discriminate. In

this case, the Port has the ability to discriminate in the fees it charges by controlling access to private terminal facilities. This is sufficient to sustain FMC jurisdiction.

838 F.2d at 534. *Plaquemines II* made it clear that owning or operating a marine terminal is not a prerequisite to a finding that a party is a marine terminal operator under the Shipping Act. *Id.* at 543. Rather, the Port Harbor and District came under the Commission's jurisdiction because it provided essential terminal services, assessed fees for the services, and conditioned access to facilities upon payment of the fee. *Id.* (when ports "begin to charge a fee for their services and to control access to private facilities to enforce their charges," they will be adjudged to have furnished marine terminal facilities.).

Here, Respondents must be considered MTOs under *Plaquemines II* because they are able to restrict access to the terminal in two ways that are **both** essential to the operation of the marine terminals.⁵ See *Carolina Marine Handling, Inc. v. S.C. State Ports Auth., et al.*, No. 99-16, 2000 WL 722274 (May 2, 2000) (finding that Respondent offering essential services and controlling access to private facilities is an MTO, though it did not directly operate or act as a landlord for those facilities). First, Respondents, as the exclusive providers of stevedoring and checking services, have the ability to condition access to the terminals by requiring the carriers to commit to hiring them for these services. Second, Respondents literally control access to the terminal through their control over the gate interchanges in the Ports.

⁵ SSA, Ceres, and Ports America share controlling interests in CSC and Gateway. McLaughlin Decl. ¶¶ 42-43; CX-000204; CX_000337; CX_000390; CX_000498. The companies also provide individual services to CSC and Gateway as part of separate services agreements. CX_000441 (services agreement between Ceres and Gateway); CX_000478 (services agreement between SSA and Gateway); CX_000537 (services agreement between Ports America and Gateway); CX_000224 (services agreement between Ports American and CSC).

A. As the Exclusive Provider of Stevedoring and Checking Services, Respondents Can Condition Access to the Terminals Based on Payment of their Fees

It is clear that Respondents acted as MTOs in the ports even prior to the joint ventures, but that status was only **strengthened** when each joint venture became a monopoly in each port. The Respondent Joint Ventures are the “exclusive providers” of stevedoring services at Wando Welch, North Charleston, and Leatherman Terminals in Charleston, and at Garden City and Ocean Terminals in Savannah. CX_000204; CX_000212; CX_000221; CX_000390; CX_000441; CX_000587. They are now the only option in each port. See CX_000221; CX_000587. As a result, the carriers’ access to these terminals is conditioned upon whether or not the carrier agrees to contract with Respondents. See CX_000245-63; CX_000556-84.

An entity “furnishes” terminal facilities if access to the terminal is conditioned upon a commitment to use that entity’s exclusive services. *Petchem, Inc. v. Canaveral Port Auth.*, 84-28, 1986 WL 170038 (1986). As the Commission explained in *Petchem*:

Normally, it is true that the selection of the tugboat operator is within the exclusive province of the carrier and that terminals themselves do not become involved in the actual docking and undocking of vessels or in the arrangements thereof. . . . Where, as here, however, the terminal operator has usurped the normal function of the carrier and **made the very access to the terminal facilities dependent upon a commitment to Tampa Towing for tug service under the terms of an exclusive right contract, the furnishing of tugboat service has in effect been transformed into a terminal function intimately related to the receiving, handling, transporting, storing, or delivering of property.**

Id. at *11 (emphasis added). Thus, once a carrier is required to use a particular entity for a marine terminal service, access to the terminal becomes conditioned on that entity, and the entity is considered a marine terminal operator. This is the case even if the services provided—such as the

tug boat services in *Petchem* or the stevedoring services here—may not in and of themselves come under the Commission’s jurisdiction.

Likewise, in *Canaveral Port Auth.*, the Commission held that when a port authority conditions access to a marine terminal on the carriers’ use of a certain entity to provide a terminal service, that entity is empowered to restrict access to the port, and jurisdiction over that entity is conferred on to the Commission:

CPA restricts access to the port through its franchise system; vessels may access the port only by using Seabulk’s tug services. By **controlling who may offer tug services and by granting that right to only one tug company, CPA has made access to the terminals and terminal facilities dependent on a commitment to Seabulk, and thus has limited the prerogative of carriers to choose a tug operator . . .** Consistent with the D.C. Circuit’s conclusions in *Plaquemines*, this control of access amounts to the furnishing of terminal facilities within the Shipping Act’s definition of marine terminal operator.

Canaveral Port Auth., Nos. 02-02, 02-03, 2003 WL 21551810, at *6 (July 8, 2003) (emphasis added).

Respondents Gateway’s and CSC’s control over access to the marine terminals offers an even stronger case for MTO jurisdiction. Like Seabulk in *Canaveral Port Auth.*, the Port Authorities restrict access to either port through the operation of the exclusive joint venture—if a carrier does not agree to pay the rates and fees set by CSC or Gateway, that carrier cannot call at the port. *See id.* A carriers’ selection of CSC or Gateway—both of which are controlled by the other Respondents who are marine terminal operators in other East Coast and Gulf ports—is therefore required before the carriers can utilize the marine terminal facility infrastructure in Charleston and Savannah. And there can be no debate that the services provided by CSC and Gateway are “essential” to the terminal facility—the loading and unloading of cargo is the

primary function of the terminal; without these stevedoring services, the facility has little reason to exist. CSC and Gateway’s “checking . . . handling, heavy, lift, loading and unloading” services are tellingly listed in the FMC’s own definition of terminal services.

CSC and Gateway negotiate and contract directly with the carriers for their services. CX_000245-63; CX_000556-84. They also set their own rates with the carriers. CX_000606 (“Gateway shall invoice ocean carriers for vessel stevedoring services based on rates negotiated and agreed upon between Gateway and the applicable ocean carrier.”); CX_000214 (“CSC will provide Stevedore Services directly to ocean carriers pursuant to contracts between JV and such ocean carriers or as subcontractor for parties directly contracting with such ocean carriers.”).⁶ This ability to condition access to terminal facilities upon a commitment to pay Respondents’ fees allows Respondents to discriminate against common carriers seeking to use the terminal facilities.

As the carriers in *Canaveral Port Auth.* had no choice but to choose Seabulk as a tug operator, so too are the carriers here limited to CSC in South Carolina and Gateway in Savannah as the exclusive providers of stevedoring. *See* 2003 WL 21551810, at *6. Thus, Respondents have “made access to other terminals and terminal facilities dependent on a commitment to [CSC and Gateway].” *Id.* As a result, the furnishing of CSC’s and Gateway’s stevedoring services have “in effect been transformed” into the furnishing of terminal facilities within the meaning of the Shipping Act. *See Petchem*, 84-28, 1986 WL 170038, *11.

B. Respondents Can Condition Access to the Terminal because of their Control over the Gates

Setting aside the fact that access to the two Ports is conditioned on the selection of Gateway and CSC for marine terminal services, Respondents also operate a key part of the marine terminal

⁶ CSC is also granted the right to negotiate tariff rates for their services. CX_000221.

facility infrastructure in Charleston and Savannah: the gates. By operating the gates, Respondents are able to condition and restrict access to the marine terminals in the Ports. This fact alone should be sufficient to resolve the jurisdictional issue.

The assessment of terminal gate fees to common carriers, and control over who is able to enter or leave the terminal through the truck gate interchange, enables an entity to discriminate against common carriers. See *Petchem, Inc.*, 1986 WL 170038, *10-11 (harmonizing prior Commission decisions which have found that conditioning access to a port's private facilities upon the payment of a charge for services reflects significant threshold control over terminal facilities). For example, in *Plaquemines II*, after reviewing prior federal court and Commission decisions considering the role that gate fees play in determining MTO status, the D.C. Circuit explained that an entity will be deemed an MTO when that entity "begins to charge a fee for their services and to control access to private facilities to enforce their charges." 838 F.2d at 543.

The Court concluded that above all, the purpose of the relevant portions of the Shipping Act was the prevention of discrimination in the provision of terminal facilities and that when an entity "has the ability to discriminate in the fees it charges by controlling access to private terminal facilities," the FMC has jurisdiction over that entity. *Id.* at 543. Both the Commission and the Court of Appeals in *Plaquemines II* adopted factual findings showing that Plaquemines Port levied a harbor fee on all "commercial cargo vessels which dock, moor, or anchor" within the Port. The tariff provided that any vessel failing to pay the fee would be denied "access to the Port and the private facilities within its jurisdiction." *Id.*

Here, there is no dispute that Respondents CSC and Gateway assess gate fees against the common carriers which call on Charleston and Savannah and that access to the terminal facilities within those ports are conditioned upon the payment of those fees. CX_000221; CX_000606.

Nor is there is a dispute that Respondents have control over whether truck drivers may enter or leave the facility. McLaughlin Decl. ¶¶ 27-29; Sims Decl. ¶¶ 24-36.⁷

In their 2019 Joint Response to a Request for Additional Information from the Commission, Respondents contrasted their extensive role controlling the gates in Charleston and Savannah, compared to their roles at other ports:

The role of the Parties in ports such as Savannah and Charleston, where the Parties control the gates, is significantly different from their role in ports where they have no control over gate operations (and therefore act solely as stevedores) such as Norfolk and Houston. In Norfolk and Houston, the Parties' role is to load and unload containers between the vessel and the point of rest. In contrast, in Savannah and Charleston, the Parties exercise control over access to the terminal itself, as well as playing a significant role in yard planning and . . . moving cargo within the facility. This more expansive role requires closer cooperation with the port authority, and allows for more efficient and integrated gate/yard/vessel operations.

CX_001034-35.⁸

⁷ The Declaration of Lance McLaughlin is cited as McLaughlin Decl. ¶ _ and is submitted as part of the Appendix as CX_001124-29; the Declaration of Steve Sims is cited as Sims Decl. ¶ _ and is submitted as part of the Appendix as CX_001136-43; the Declaration of Charles Brave is cited as Brave Decl. ¶ _ and is submitted as part of the Appendix as CX_001117-123; and the Declaration of Paul Mosley is cited as Mosley Decl. ¶ _ and is submitted as part of the Appendix as CX_001130-35.

⁸ Respondents explained further that the gate company at the Port of Charleston, Charleston Gate, was “owned 1/3 each by Container Maintenance Corporation (“CMC”), SSA and Ceres, “while the gate company in Savannah, Gateway, was “owned 1/3 each by SSA, Marine Terminal Corporation East (a Ports America company) and Ceres.” CX_001031. Respondents controlled the access of cargo into and out of the terminals through the gate companies. CX_001032. Respondents “through their gate company direct the cargo placement to a point designated by the gate company within the terminal (for export) or direct the drayage trucker to cargo at a designated point within the terminal for pick-up (for import).” CX_001025.

Contemporary agreements provided in response to the ILA's First Request for the Production of Documents establish that CSC and Gateway each assess gate fees and enforce those fees through their control of the gates at the Ports. *See* CX_000221; CX_000245; CX_000606.

Through a license agreement between SCSPA and CSC, SCSPA conferred on CSC the right to participate, along with another entity, Container Maintenance Company ("CMC") in the Charleston Gate Company. CX_000221. Charleston Gate Company performs gate services at the Port of Charleston, under the mutually agreed terms of CSC and CMC. *Id.*; *see also* CX_001038. Under the license agreement, the Charleston Gate Company bills CSC for its services and CSC negotiates the gate company's fees for gate services directly with the container shipping lines. CX_000221. The licensing agreement is valid through December 31, 2029, with the option for CSC to extend the agreement for an additional five years. CX_000213.

In other words, Respondent CSC, as well as Respondents Ports America, Ceres and SSA, which comprise CSC's Board of Directors and control CSC, *see* CX_000204, are currently responsible for overseeing the gate company at the Port of Charleston and for negotiating tariff rates, which include fees for gate services. Under these agreements between CSC and the carriers which call in Charleston, CSC consistently charges carriers for "Charleston Gate Services." CX_000245-63 (CSC's rate agreements with the container shipping lines showing that CSC bills the carriers directly for gate services).

In Savannah, Respondent Gateway is the exclusive provider of gate services at the terminals. CX_000587; CX_000623. Gateway alone negotiates the rates for the terminal gate fees paid by the carriers. CX_000606. Through a license agreement between GPA and Gateway, "GPA designates Gateway as the exclusive provider of container vessel stevedoring and gate services" at Garden City Terminal and Ocean Terminal in the Port of Savannah. CX_000587.

This agreement is effective from January 1, 2022 through December 31, 2031, with the option to extend the agreement for an additional five years. CX_000587-88. Exhibit A of that license agreement lists gate and stevedoring rates assessed by Gateway, specifying that “Gateway shall invoice ocean carriers for gate services based rates negotiated and agreed upon between Gateway and the applicable ocean carrier.” CX_000606. Exhibit D of the license agreement describes the gate services under Gateway's control, granting Gateway the right to utilize equipment owned by GPA in the provision of its gate services and specifying that Gateway will provide all personnel to operate the gates at its “sole cost and expense.”⁹ CX_000623. Gateway collects a fee on each interchange of a shipping container which moves through the gate. Sims Decl. ¶ 36.

Either directly (Gateway) or on behalf of a related gate company under its control (CSC), Respondents negotiate and assess gate fees charged to common carriers. See CX_000221; CX_000606. And Respondents condition access to all terminal facilities through their control over these gates. See *Plaquemines II*, 27 F.M.C.2d at 151. Because these gate charges are levied by Respondents as a condition of carriers’ access to the Ports, Respondents exhibit significant control over terminal facilities to an extent that permits them to discriminate against common carriers. *Plaquemines II*, 838 F.2d at 543.

Moreover, in both ports, Respondents have staffing and operational control over the gates. Sims Decl. ¶¶ 24-36; McLaughlin Decl. ¶¶ 27-29. This grants Respondents control over who can enter or leave the terminal and, thus, can restrict access to terminal facilities. CSC and Gateway

⁹ Moreover, Gateway’s Operating Agreement provides: “The service level expectation of the GPA requires that gate flow is maintained in a way that minimizes line wait times, keeps truck ques at a minimum and fully leverages all assets made available to the gate service provider. The GPA expects that the Gate Service Provider maintains a direct management presence with visible supervision during gate operating hours.” CX_000476.

employees review the documentation of the road trucks entering and exiting the facility to determine whether the driver can proceed through the gate. Sims Decl. ¶¶ 24-36; McLaughlin Decl. ¶¶ 27-29. In Savannah, a clerk working for Gateway verifies a truck driver's container number and inspects the container and chassis are the gate interchange. Sims Decl. ¶ 29. The Gateway clerk can deny or restrict access if the driver has the wrong container number, a loaded container is not sealed, hazardous cargo does not have a placard, or the container or chassis is damaged. Sims Decl. ¶¶ 29-35. Gateway clerks can also turn a truck around and send the driver back to the stacks or for maintenance and repair if a container is damaged. Sims Decl. ¶ 32. Similarly, in Charleston, when a carrier arrives at the terminal yard gate to drop off a container or pick up a container from the shipping yard, a ILA Local 1771-represented Gateway employees reviews the paperwork and credentials of the trucker before granting access to the terminal. McLaughlin Decl. ¶ 27. If the paperwork is insufficient, a Gateway employee denies access to the trucker. McLaughlin Decl. ¶ 28.

Accordingly, in addition to conditioning access to the marine terminal on the selection of and payment to CSC and Gateway for marine terminal services, CSC and Gateway can literally deny access to the two marine terminals.

II.

RESPONDENTS OPERATE TERMINAL FACILITIES IN CHARLESTON AND SAVANNAH

In *Plaquemines II*, the D.C. Circuit affirmed the Commission's finding that the Plaquemines Port Harbor and District was an MTO within the meaning of the Act even though it played **no** role in the operation of the marine terminals. 838 F.2d at 540. In that case, the terminals were fully controlled and operated by private companies. *Id.* The Port Harbor and District,

however, operated “patrol/rescue/fire vessels” for which it charged a tariff to all port and harbor users. *Id.* Thus, while the Port Harbor and District did not actually operate the terminal, this “combination of offering essential services and controlling access to the private facilities amounts to the furnishing of terminal facilities” was sufficient to establish jurisdiction under the Act. *Id.* at 543.

Here, however, Respondents **do** operate the terminal facilities on a daily basis. This is **not** a case involving entities whose connection to the facility is tangential, like the harbor fees in *Plaquemines* or the tugboat operators in *Petchem*. Rather, Respondents are intimately involved in almost every aspect of the facilities. The record developed so far makes clear that the Respondents **work hand-in-hand** with the port authorities in the operation of the marine terminals and have operational and staffing control of key terminal infrastructure (*e.g.*, the terminal gates). See *Plaquemines I*, 21 S.R.R. at 1080 (“Commission finds that such pervasive involvement in the business of common carriers, marine terminals and the commerce of the United States confers on the Commission jurisdiction over the Port.”).

For example, Respondents **furnish warehousing** in the Ports, one of a handful of facilities specifically identified in the Commission’s definition of MTOs. See Mosley Decl. ¶¶ 26-29; Sims Decl. ¶¶ 39-42; McLaughlin Decl. ¶¶ 20-26. CSC leases warehouses and large portions of the terminal area from SCSPA in both the North Charleston and Wando Welch terminals. See McLaughlin ¶¶ 21-22; CX_000199 (defining 1.16-acre area where transload services are offered). Within these designated areas, CSC employs members of ILA Local 1422 to stuff and strip shipping containers and store the contents of the containers within the warehouse or terminal area. McLaughlin Decl. ¶¶ 21-25; *see also* McLaughlin Decl. ¶ 37. CSC charges the carriers a fee for this stuffing and stripping performed on the facility premises. McLaughlin Decl. ¶ 26. In

Savannah, Ports America performs warehousing services at sheds and open field spaces at Garden City Terminal. Sims Decl. ¶¶ 39-42. To provide these services, Ports America employs a shed gang (comprised of a header and a few other Local 1414-represented employees) and a chief clerk to stuff and strip containers. These containers and the cargo loads are stored at warehouses before and after they are stripped and stuffed. Sims Decl. ¶¶ 39-42; Mosley Decl. ¶¶ 26-29. SSA also lease several warehouse spaces at Garden City Terminal for the purpose of stuffing and stripping containers. CX_000637; CX_000716; CX_001018. The fact that Respondents furnish warehousing should be sufficient to confer jurisdiction to the Commission. See 46 C.F.R. § 525.1(13); 46 U.S.C. § 40102 (an entity furnishing warehousing comes under the definition of a marine terminal operator).¹⁰

Moreover, Respondents are the exclusive provider of services essential to the terminal's core functions of receiving, handling, storing and delivering cargo.¹¹ See CX_000221; CX_000587. Respondents are the sole providers of checking at the Ports' terminal facilities, that is "[t]he service of counting and checking cargo against appropriate documents for the account of the cargo or the vessel, or other person requesting same." See 46 CFR §525.1(c)(3). This checking is performed presently on behalf of CSC and Gateway by members of ILA Local 1771 and ILA

¹⁰ CSC's and SCSPA's licensing agreement also provides that CSC shall provide **line-handling** services for shipping vessels docking and departing from the terminal—giving the Commission another reason to exercise jurisdiction over CSC. CX_000222.

¹¹ These services which fall under the Commission's definition of terminal services: "**checking, dockage, free time, handling, heavy lift, loading and unloading, terminal storage**, usage, wharfage, and wharf demurrage, as defined in this section. The definitions of terminal services set forth in this section shall be set forth in terminal schedules, except that other definitions of terminal services may be used if they are correlated by footnote, or other appropriate method, to the definitions set forth herein. Any additional services which are offered shall be listed and charges therefor shall be shown in the terminal schedule." 46 C.F.R. § 525.1(c)(19) (emphasis added).

Local 1475, respectively. McLaughlin Decl. ¶¶ 3-5; Sims Decl. ¶¶ 3-5; CX_000221; CX_000390; CX_000441; CX_000587. Further, while the Commission does not exercise jurisdiction over companies that solely perform stevedoring, it is clearly essential to the operation of a marine terminal.¹² And Respondents are the exclusive providers of these stevedoring services at the terminals. Brave Decl. ¶¶ 3-5, 8, 33; Mosley Decl. ¶¶ 3-5; CX_000221; CX_000390; CX_000441; CX_000587. In *Petition of S. Carolina State Ports Auth. for Declaratory Order*, 27 S.R.R. 1139, 1166 (FMC 1997), the Commission stated that while it did not “regulate stevedoring” *per se*, it does have regulatory authority over practices related to stevedoring because stevedores “are the means by which property is moved from the point at which it is considered to be received by the carrier from the shipper into the vessel and from the vessel to the point at which it is considered to be delivered by the carrier to the consignee. Any marine terminal or common carrier regulation or practice governing such services comes within the literal ambit of section 10(d)(l) and may not be said to be outside the Commission’s jurisdiction.” CX_000164.

In performing these functions, Respondents are significantly involved in the business of ocean carriers. *See Plaquemines I*, 21 S.R.R. at 1080 (explaining that heavy involvement in the business of carriers confers jurisdiction to the Commission). Respondents set their own rates and negotiate and contract directly with the shipping lines on their fees. CX_000245-63; CX_000556-84; Mosley Decl. ¶ 21; Sims Decl. ¶ 19. Respondents also communicate directly with the carriers on pre-vessel operations and stowage, which refers to where the cargo is placed or “stowed” in the vessel. Mosley Decl. ¶¶ 18-19; Sims Decl. ¶¶ 17-18; McLaughlin Decl. ¶¶ 9-16. CSC and Gateway employ members of ILA Local 1771 and ILA Local 1475 to develop and plan stowage

¹² Respondents own and operate their equipment located on the terminal facilities. Brave Decl. ¶¶ 18-19; *see also* CX_000175.

of shipping containers throughout the marine terminal in the Ports. Mosley Decl. ¶ 18; Sims Decl. ¶ 17; McLaughlin Decl. ¶¶ 9-16; Brave Decl. ¶ 17. For example, in Charleston, before a ship calls in the Port, the carrier will begin to develop a pre-stowage agreement with CSC and a member or members of ILA Local 1771. McLaughlin Decl. ¶ 12; Brave Decl. ¶ 17. CSC and ILA Local 1771 then communicate on a daily basis with the carrier to complete the pre-stowage arrangement, setting forth where within the marine terminal operator the carrier's cargo will be stored based upon multiple factors; e.g., the cargo's weight, final destination, whether or not the cargo must be refrigerated, whether the cargo is containerized or break bulk, whether the cargo is hazardous, etc. McLaughlin Decl. ¶ 13; *see also* Mosley Decl. ¶ 19; Sims Decl. ¶ 18

Respondents have exclusive control over vessel operations at the terminals. *See* Mosley Decl. ¶¶ 16-17; Sims Decl. ¶¶ 15-16; Brave Decl. ¶¶ 18-19; McLaughlin Decl. ¶ 19; CX_000180; CX_000202; CX_000221; CX_000390; CX_000441; CX_000587. It is Respondents' domain at the dock when a ship is berthed at the dock—Respondents supervise and direct both their own employees **and** the state employees when cargo is being loaded/unloaded onto and off the vessels. *See* Sims Decl. ¶¶ 15-16; Mosley Decl. ¶¶ 16-17; Brave Decl. ¶ 20. For example, Respondents oversee state employees working on the terminal when operating shore-based cranes to load/unload containers on and off the vessels. *See* Sims Decl. ¶¶ 15-16; Mosley Decl. ¶¶ 16-17; Brave Decl. ¶ 20.

But Respondents control over the terminal does not end at the dock and wharf area—it extends throughout the terminal facility. *See, e.g.,* Mosley Decl. ¶ 10. CSC and Gateway direct the cargo from the vessel to a designated point within the terminal for pick-up by drayage or road truck (for import) and direct the cargo from a designated point within the terminal to the vessel

(for export).¹³ See CX_000264-65; Mosley Decl. ¶c 22-23; Sims Decl. ¶¶ 20-1; *see also* McLaughlin Decl. ¶¶ 27-29. When cargo is being imported, Respondents have sole responsibility over assigning the final discharge location for the cargo from the vessel on the terminal, reconciling the cargo on the vessel, transporting the cargo by yard truck to the stacking area where the truck picks up the cargo, and directing state employees operating heavy machinery to lift the containers onto the yard truck and then off the truck and onto the “stack.” CX_000265; *see also* Mosley Decl. ¶¶ 22-23; Sims Decl. ¶¶ 20-1; Brave Decl. ¶¶ 20, 22. Respondents also provide input to the Port Authority on the berthing assignment of the vessel and the location on the terminal where to assign the container before pick-up by road truck. CX_000265; *see also* CX_000221 (CSC and SCSPA agree to consult on berthing availability and productivity).

As to exports, Respondents provide input on where the containers are stored in the terminal prior to being moved to the vessel and are responsible for verifying that containers are correct, vessel operations and stowage, and the delivery of the containers from the stacking area to the vessel. CX_000264; McLaughlin Decl. ¶¶ 11, 14. Likewise, Respondents supervise and direct state employees operating cranes to move containers from the stacks and onto yard trucks and from the yard trucks onto the vessels. Brave Decl. ¶ 20; Mosley Decl. ¶ 23. Within the stacking areas, Respondents direct the state employees where the containers are to be positioned and the sequence in which they are moved. Mosley Decl. ¶ 23; Sims Decl. ¶ 21; McLaughlin Decl. ¶¶ 9-16.

In most areas of the marine terminal, Respondents either have primary control of the operation (vessel operations, stowage, gate operations, location assignment of the cargo after

¹³ The “Export Process Flow” and “Import Process Flow” charts describe this process in detail. See CX_000264-65.

discharge from the vessel, and movement of the cargo to and from the vessel to the stacking area, etc.) or are given input on the areas within the Port Authority's control (berthing assignments, where the containers are stacked or stored in the yard, etc.). See CX_000264-65; Mosley Decl. ¶¶ 9-23; Sims Decl. ¶¶ 9-21; Brave Decl. ¶ 22; McLaughlin Decl. ¶¶ 9-16. This level of integration and coordination between Respondents and the Port Authorities in the terminal operations demonstrates Respondents' shared control over the terminal facilities in the Ports.¹⁴

As further evidence of their role in the operation of the terminal facilities, Respondents maintain office space directly on the terminals. Sims Decl. ¶¶ 43-51; Mosley Decl. ¶¶ 30-35; CX-000199; CX_000591. In Savannah, Gateway clerks and checkers work out of an office building which Gateway leases, named Raes Hall, located on Garden City Terminal, as well as a smaller office building on Ocean Terminal. Sims Decl. ¶¶ 43-51; Mosley Decl. ¶¶ 30-35; CX_000371; CX_000419; CX_000591; CX_000693. At Raes Hall, Gateway employees have their own offices and work together with GPA employees on pre-vessel operations. Sims Decl. ¶¶ 45-49; Mosley Decl. ¶¶ 32-35. Gateway restricts who has access to this building and is responsible for its maintenance and upkeep. Sims Decl. ¶ 46; Mosley Decl. ¶ 33; CX_000375. Respondent CSC

¹⁴ Evidencing their shared control over the Ports' terminal facilities are clauses in the parties' licensing agreements that incentivize CSC and Gateway to optimize productivity and efficiency at the terminal facilities. In Charleston, CSC and the SCSPA "agree to consult with each other for, and develop protocols and guidelines for the safest, most efficient, most competitive services" in the multiple areas involving vessel operations, yard planning, and berthing. CX_000221; *see also* CX_000214 (parties agree to notify each other regarding unsafe conditions and equipment failures related to terminal facilities and share new technologies/software). CSC further agrees to assist the SCSPA "**in building the volume of business handled at the Port and shall generally work to promote a positive image of South Carolina maritime activities and the [SCSPA].**" CX_000222 (emphasis added). And in Savannah, GPA has built in extensive key performance indicators and performance targets as requirements for Gateway to maximize the terminal facilities' productivity and efficiency. CX_000589; CX_000616-19.

likewise maintains office space directly on the terminals in Charleston, where ILA Local 1771-represented employees work. CX-000199; McLaughlin Decl. ¶¶ 32-24. CSC is also responsible for the repair and maintenance of this space. McLaughlin Decl. ¶¶ 32-34. Also, in Charleston, CSC and SCSPA are parties to a Master Port Facility License Agreement, where CSC licenses the use of the terminal facilities. CX_000180. This allows CSC a license for use and improvements of multiple locations on the terminal (i.e., office buildings and other office space, equipment storage areas, and terminal yard space), as well as use of common facilities. CX_000180-1; CX_000199.¹⁵

Indeed, the footprint of Respondents at the terminals is **massive**. Respondents Gateway, CSC, SSA, Ports America, and Ceres lease or license multiple locations from GPA and SCSPA at the terminal facilities, including office buildings and office space (CX_000199; CX_000523; CX_000640; CX_001098-1099; CX_001059), different warehouse and storage spaces (CX_000199; CX_000637; CX_000719; CX_001065), open field areas and yard space (CX_000199; CX_001065; CX_000652-654; CX_000896; CX_000915; CX_001098-1099; CX_001100), training areas (CX_000652-654; CX_000522-523), and other terminal spaces (CX_000199; CX_000222). Respondents are responsible for the maintenance and repair of the

¹⁵ The Master Port Facility Licensing Agreement grants CSC additional control over terminal facilities: it allows CSC to make improvements to the facility at its own cost; requires CSC to maintain and repair the facility at its own expense; makes CSC responsible for all spilled liquids and absorbent materials; requires CSC to provide a storm-water pollution plan and a hurricane plan; requires CSC to pay electricity, water, sewer, and storm-water fees; and allows CSC to retain an independent operator to manage the day-to-day operations of the facility. CX_000181; CX_000184; CX_000186; CX_000190. CSC is also required to obtain its own insurance (worker's comp, all risk, general liability, etc.). CX_000193; *see also* CX_000213 (license agreement also providing that CSC must obtain its own insurances in the provision of its services to SCSPA). Likewise, Gateway is required to obtain its own insurances as part of its service license agreement with GPA. CX_000592.

facility property they lease and license. CX_000640-647; CX_000896-900; CX_000361-363; CX_001065-1097.

Further illustrative of Respondents' general control over terminal facilities is that they are responsible for maintenance and repair, daily clean-up of facility work spaces, and preventing property damage at the terminals. *E.g.*, CX_000185; CX_000382; CX_000468; CX_000615; CX_000643; CX_000657; CX_000720; CX_000737; CX_000788; CX_000810; CX_000843; CX_000865; CX_000884; CX_000889; CX_000900; CX_000933; CX_000953; CX_001016; CX_001069. Respondents are also responsible for providing essential safety and security services in conjunction with their other terminal services in Savannah and Charleston. *E.g.*, CX_000609; CX_0001888. Gateway and CSC are responsible for their own safety and security while working on the port. CX_000609 ("Gateway shall be solely responsible for taking reasonable precautions and steps to ensure and maintain a safe work environment at the Terminal for its members, employees, contractors, subcontractors and invitees."); CX_0001888 ("The Ports Authority shall not be liable for the safety or security of any persons or property on the Facility or Terminal. [CSC], in its discretion, may provide appropriate surveillance or security and alarm systems to assure the security and safety of the Facility and protection of persons or property at the Facility."). Gateway also works directly with the GPA on matters of Port safety through a joint Safety Committee, and is required to meet daily to discuss safety-related matters. CX_000609; CX_000505.

Finally, **perhaps most importantly** Respondents also control the truck gate interchanges at the terminals in both Ports. As discussed in detail above, *see supra* pp. 13-18, Respondents have independent control over the land-based gates that provide ingress and egress for the road trucks picking up and delivering cargo.

Therefore, the Commission has personal jurisdiction over Respondents because they are simply operating the marine terminals in the Ports. Indeed, the sheer breadth of Respondents' control over the Ports' facilities certainly has more than "a discernible effect on the commercial relationship between shippers and carriers," as required for jurisdiction under the Act. *Plaquemines I*, at 21 S.R.R. at 1079.

Despite the many ways that Respondents operate and control marine terminals in the Ports, Respondent argue that the Commission has no personal jurisdiction over them. To agree with the Respondents' position would mean that the Commission is completely divested from jurisdiction over the two largest Ports in the Southeastern United States, given that the Commission has no jurisdiction over the public-sector port authorities. *See Fed'l Maritime Comm'n v. South Carolina Ports Auth.*, 535 U.S. 743 (2002).

CONCLUSION

For the foregoing reasons, the Commission should find that it has jurisdiction over Respondents because they are marine terminal operators in Charleston and Savannah.

Dated: May 15, 2023
New York, New York

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 15th Day of May, 2023.

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Inc.; and SSA Atlantic, LLC*

Dated: May 15, 2023
New York, New York

/s/Nicholas M. Graziano
Nicholas M. Graziano

EXHIBIT B

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

-----	X	
INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	
	:	
GATEWAY TERMINALS, LLC;	:	FMC Docket No.: 22-12
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
-----	X	

**COMPLAINANT INTERNATIONAL LONGSHOREMEN’S
ASSOCIATION’S PROPOSED FINDINGS OF FACT**

Complainant, International Longshoremen’s Association, by and through its undersigned counsel, respectfully submits the following proposed findings of fact:

PARTIES

1. The International Longshoremen’s Association (“ILA”) is a labor organization representing longshore workers, clerks and checkers, maintenance and repair workers, and other workers employed in related crafts along the East and Gulf Coasts of the United States, including the Ports of Savannah, Georgia, and Charleston, South Carolina. The ILA maintains offices at 5000 West Side Avenue, North Bergen, New Jersey 07047.

2. The ILA and its affiliated local unions represent longshore workers, clerks, checkers, and maintenance workers in the Ports of Charleston and Savannah for the purposes of

collective bargaining with their employers, including Ports America,¹ Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”), as well as Gateway Terminals, LLC (“Gateway”) and Charleston Stevedoring Company, LLC (“CSC”).

3. ILA Local 1422 is a local union affiliate of the ILA, which represents longshore workers and other workers employed in related crafts in the Port of Charleston, SC. Brave Decl. ¶¶ 1-3.² ILA Local 1422 maintains offices at 1142 Morrison Dr., Charleston, SC 29403.

4. Mr. Charles Brave is the President of ILA Local 1422. *Id.*

5. ILA Local 1771 is a local union affiliate of the ILA, which represents clerks, checkers, timekeepers, and other workers employed in related crafts in the Port of Charleston, SC. McLaughlin Decl. ¶¶ 1-4. ILA Local 1771 maintains offices at 2113 Courtland Avenue, Charleston, SC 29403.

6. Mr. Lance McLaughlin is the President of ILA Local 1771. *Id.*

7. ILA Local 1414 is a local union affiliate of the ILA, which represents longshore workers and other workers employed in related crafts in the Port of Savannah, GA. Mosley Decl. ¶¶ 1-4. ILA Local 1414 maintains offices at 221 N. East Lathrop Avenue, Savannah, GA 31415.

¹ Ports America Florida, Inc. was named as a respondent in this case because the publicly disclosed proposed joint venture agreement (Agreement 2011293) included that entity as a contracting party. See CX_001101. Discovery has revealed, however, that another Ports America affiliate has been a marine terminal operator in the Ports for years and is currently the contracting party in the joint ventures as actually implemented. Regardless, this brief will show that all the contracting parties were marine terminal operators in the Ports at all relevant times before and after the joint venture. These facts will use the term “Ports America” to include the Ports America affiliate operating in Savannah and Charleston.

² The Declaration of Lance McLaughlin is cited as McLaughlin Decl. ¶ _ and is submitted as part of the Appendix as CX_001124-29; the Declaration of Steve Sims is cited as Sims Decl. ¶ _ and is submitted as part of the Appendix as CX_001136-43; the Declaration of Charles Brave is cited as Brave Decl. ¶ _ and is submitted as part of the Appendix as CX_001117-123; and the Declaration of Paul Mosley is cited as Mosley Decl. ¶ _ and is submitted as part of the Appendix as CX_001130-35.

8. Mr. Paul Mosley is the President of ILA Local 1414. *Id.*

9. ILA Local 1475 is a local union affiliate of the ILA, which represents clerks, checkers, timekeepers, and other workers employed in related crafts in the Port of Savannah, GA. Sims Decl. ¶¶ 1-4. ILA Local 1475 maintains offices at 429 Habersham St, Savannah, GA 31401.

10. Mr. Steve Sims is the President of ILA Local 1475. *Id.*

11. Respondent Gateway Terminals, LLC (“Gateway”) is a Georgia limited liability company with a principal place of business at 1 Greer Road, Suite 1 Rae’s Hall, Garden City, GA 31408. Gateway is a joint venture established by a cooperative working agreement entered into by Marine Terminals Corporation – East (“Ports America”), SSA Atlantic, LLC (“SSA”); and Ceres Marine Terminals, Inc. (“Ceres”). The effective date of the cooperative working agreement in Savannah was on or about March 1, 2022.

12. Respondent Charleston Stevedoring Company, LLC (“CSC”) is a Delaware limited liability company with a principal place of business at 2265 Clements Ferry Road, Suite 310B, Charleston, SC 29492. CSC is a joint venture established by a cooperative working agreement entered into by Respondents Ports America, SSA, and Ceres. The effective date of the cooperative working agreement in Charleston was on or about January 1, 2020.

13. Marine terminal operations in the Port of Charleston and the Port of Savannah (the “Ports”) are jointly conducted by Respondents and the public port authorities, the South Carolina State Ports Authority (“SCSPA”) in Charleston and the Georgia Ports Authority (“GPA,” together with SCSPA, the “Port Authorities”) in Savannah.

**GATEWAY SOLELY CONTROLS GATE OPERATION
AND STEVEDORING SERVICES IN SAVANNAH
AND CSC SOLEY CONTROLS THESE SERVICES IN CHARLESTON**

14. The Port Authorities entered into various agreements with Ceres, SSA, and Ports America that granted them control over the terminal gates and office spaces where stowage and discharge of cargo are planned and handed over control of the shipside terminal property and heavy lift-equipment to load and unload berthed vessels. *See, e.g.*, CX_000361; CX_000371; CX_000628; CX_000693; CX_000751; CX_001059.³

15. GPA and Gateway entered into similar agreements giving the same sort of control to Gateway at Garden City and Ocean terminal, and maintained the same agreements separately with the Respondents individually at Ocean Terminal. *See, e.g.*, CX_000390; CX_000399; CX_000418; CX_000440; CX_000586; CX_000623; CX_000930; CX_000961.

16. Similarly, SCSPA and CSC entered into similar agreements giving the same control to CSC with respect to containerized cargo at all Charleston terminals, but maintained the same agreements separately with the other Respondents individually with respect to non-containerized cargo. *See, e.g.*, CX_000180; CX_000332; CX_001059; CX_001062.

17. After the completion of the joint ventures, Gateway in Savannah and CSC in Charleston took over the negotiations with shippers and carriers with respect to containerized cargo and became the exclusive providers of stevedoring in the Ports. CX_000204; CX000212; CX_000221; CX_000245-76; CX_000390; CX_000441; CX_000556-85; CX_000587.

18. Shippers and carriers are billed directly by Gateway and CSC, and Gateway and CSC are the exclusive provider of marine terminal gate and vessel loading and unloading operations at the terminals. CX_000245-76; CX000556-85; CX_000596; CX_001062. Carriers

³ Respondents did not provide any documents pertaining to Respondent Ports America.

have to agree to their fees because they are the only option in their respective port. See CX_000245-76; CX_000556-85.

STOWAGE

19. To facilitate these services, CSC develops a pre-stowage arrangement for the carrier's vessel after receiving a manifest and other documents from the carrier or shipper. McLaughlin Decl. ¶¶ 9-15.

20. CSC and members of ILA Local 1771 communicate on a daily basis with the carriers to develop the pre-stowage arrangement. This is the case for each carrier that plans to bring their cargo to the Port of Charleston. *Id.*

21. The stowage arrangement of shipping containers and other break bulk materials are based on multiple factors, including the cargo's weight, the cargo's final destination, whether or not the cargo must be refrigerated, whether the cargo is containerized or break bulk, and so forth. *Id.* at ¶¶ 11, 14.

22. The arrangement between Gateway and the carriers that call on the Port of Savannah are almost identical. Sims Decl. ¶¶ 17-18.

GATES

23. After the completion of the joint ventures, Gateway in Savannah and CSC in Charleston also took over the negotiations with shippers and carriers with respect to gate operations and became the exclusive providers of gate operations in the two Ports. CX_000204; CX_000221; CX_000586, CX_000606; CX_000623.

24. Prior to the effective date of the cooperative working agreement and/or the completion of the joint venture, SSA, Ports America, and Ceres controlled access to the container terminal facility in the Port of Savannah by charging carriers a fee for gates services, as

well as other services, through their joint operation of Gateway. *See* CX_001027, CX_001031 (explaining prior carrier billing by Respondents). Access to the terminal was conditioned upon payment of this fee to SSA, Ports America, and Ceres through their control over Gateway. *See* CX_000390 (referring to prior operating agreements between the Respondents).

25. From December 21, 2021 onward, upon the completion of the joint venture, Gateway was expanded from the joint venture controlling gate operations within the Port to the joint venture controlling both the gate operations **and** stevedoring operations, expanding Gateway's control over access to the container terminal facility in the Port of Savannah by charging carriers fees for this services. CX000556-87; CX_000606; CX_000623. Access to the terminal is conditioned upon payment of this fee to Gateway as Gateway is now the only gate company and stevedoring company (in regards to containerized cargo) within the Port. *Id.*

26. In a 2019 Joint Response to a Request for Additional Information from the Commission, Respondents SSA, Ceres and Ports America asserted that they qualified as marine terminal operators in the Ports of Charleston and Savannah based on their assessment and collection of gate fees. CX_001024-25.

27. Respondents explained that the gate company at the Port of Charleston, Charleston Gate was "owned 1/3 each by Container Maintenance Corporation ("CMC"), SSA and Ceres," while the gate company in Savannah, Gateway, was "owned 1/3 each by SSA, Marine Terminal Corporation East (a Ports America company) and Ceres." CX_001031.

28. Before the joint ventures were implemented, the Respondents controlled the access of cargo into and out of the terminals through the gate companies in each of the two Ports. CX_001032-33.

29. Presently, through a license agreement between South Carolina State Ports Authority and Respondent CSC, the Port Authority conferred on CSC an exclusive right to participate, along with the Container Maintenance Company (“CMC”) in the Charleston Gate Company. CX_000212; CX_000221.

30. The Charleston Gate Company performs gate services at the Port of Charleston, under the mutually agreed terms of CSC and CMC. CX_000221. Under the license agreement, the Gate Company bills CSC for its services and CSC negotiates tariff rates with container shipping lines, including negotiation of fees for gate services. *Id.* The licensing agreement is valid through December 31, 2029, with the option for CSC to extend the agreement for five years. CX_000213.

31. CSC is responsible for overseeing the gate company at the Port of Charleston and for negotiating tariff rates, which include fees for gate services. CX_000221. Under agreements currently in force between CSC and various common carriers, CSC consistently charges carriers for “Charleston Gate Services.” CX-000245-76.

32. Through a license agreement between Georgia Ports Authority (“GPA”) and Gateway Terminals, L.L.C., “GPA designates Gateway as the exclusive provider of container vessel stevedoring and gate services” at Garden City Terminal in Garden City, Georgia and Ocean Terminal in Savannah, Georgia. CX_000518. The agreement is effective from January 1, 2022 through December 31, 2031, with the option to mutually agree to extend the agreement for an additional five years. CX_000518-19.

33. Exhibit A of the license agreement lists gate and stevedoring rates assessed by Gateway, specifying that “Gateway shall invoice ocean carriers for gate services based rates negotiated and agreed upon between Gateway and the applicable ocean carrier.” CX_000606-07.

34. Exhibit D of the license agreement describes the gate services under Gateway's control, granting Gateway the right to utilize equipment owned by GPA in the provision of its gate services and specifying that Gateway will provide all personnel to operate the gates at its "sole cost and expense." CX_000623-24.

35. The 2019 Joint Response to a Request for Additional Information from the Commission confirms that, even prior to the currently effective license agreement between GPA and Gateway, stevedores at the Port of Savannah were "invoiced for gate operations from the gate company," rather than the Port Authority. CX_001031.

36. Accordingly, Gateway in Savannah and CSC in Charleston operate and control the gates at the container terminal facilities in each port, where they have ability to control or exert influence over who enters and exits the facility and deny access to persons who do not have the proper paperwork or licensing or who have not paid their fees to CSC or Gateway.

**RESPONDENTS CSC AND GATEWAY ARE
THE SOLE STEVEDORES FOR CONTAINERIZED CARGO IN EACH PORT**

37. Prior to CSC's formation in Charleston, SC, Respondents Ports America Florida, Inc. ("Ports America"), Ceres Marine Terminals, Inc. ("Ceres"), and SSA Atlantic, LLC ("SSA") performed stevedoring services for common carriers that called to the Port. Brave Decl. ¶ 7; McLaughlin Decl. ¶ 5.

38. Each of the three corporations worked separately in the Port of Charleston, and continue to do so in many instances, though they generally do not handle shipping containers, as after CSC's formation, CSC is the exclusive stevedore for containerized cargo that is brought to the Port. Brave Decl. ¶¶ 8-13.

39. Likewise, prior to Gateway's formation in Savannah, GA, Respondents Ports America, Ceres and SSA performed stevedoring services for common carriers that called to the Port. Mosley Decl. ¶ 5; Sims Decl. ¶ 5.

40. The Operating Agreement specifically defines Gateways' services as "marine terminal operating services, including gate and stevedoring services, in respect of marine containers at the Ports." CX_000390.

41. The Services Agreement between Gateway and Respondent Ceres also states that Gateway is the sole provider of stevedoring services in the Port. CX_000441.

42. The Services Agreement between Gateway and Respondent SSA also states that Gateway is the sole provider of stevedoring services in the Port. CX_000479.

43. The Licensing Agreement between Gateway and GPA states that Gateway shall be the sole provider of stevedoring services within the Port. CX_000517.

44. The Services Agreement between Gateway and GPA reiterates that Gateway is the sole provider of stevedoring services in the Port. CX_000537-42.

45. Exhibit C of the Services Agreement between Gateway and GPA demonstrates that Gateway is solely in control of the marine terminal when loading or unloading the cargo of a carrier vessel berthed in the Port and that Gateway is responsible for maintenance of the marine terminal in addition to the performance of its stevedoring functions. CX_000614-22.

46. Specifically, Exhibit C, Section 3(b) states:

Gateway shall remove all containers and breakbulk cargo from the dock facilities at the Terminal prior to the earlier of the arrival of a new vessel at berth, or the end of each day, If Gateway is unable to remove breakbulk cargo from the dock as a result of any cause, condition or event which is beyond the reasonable control of Gateway, then Gateway shall promptly notify GPA of the reason therefor, and following receipt of such notice, GPA shall work with Gateway to remove the break-bulk cargo from the dock as soon as practicable.

CX_000615.

47. Accordingly, when a carrier intends to bring its containerized cargo to Savannah, GA, that carrier must agree to utilize Gateway for all necessary stevedoring work.

CSC AND GATEWAY ALSO OFFER WAREHOUSING

48. By agreement with the South Carolina Ports Authority, CSC has been given control of designated portions of Wando Terminal for warehousing cargo and for stuffing and stripping containers. CX_000199-200.

49. SCSPA leases a 1.16-acre area of the marine terminal to CSC at the Wando Welsh terminal and an undefined area of the marine terminal to CSC at the North Charleston terminal. *See id.*

50. At the Wando Welsh Terminal, this designated area is located next to the Container Freight Station. *Id.*; McLaughlin Decl. ¶ 22.

51. Within these designated areas, CSC employs members of the ILA to stuff and strip the shipping containers and store the contents of the containers within the warehouse. *Id.*; McLaughlin Decl. ¶ _.

52. This stuffing and stripping is likewise performed by members of the ILA employed by CSC in a number of open terminal yard areas, which can be accessed from the shipping terminal. McLaughlin Decl. ¶¶ 22-25.

53. CSC controls this on-terminal stuffing and stripping area while cargo is loaded and unloaded by members of the ILA employed by CSC. *Id.*

54. CSC charges a fee to all carriers when it strips their cargo within this leased area. CX-000245-76; McLaughlin Decl. ¶ 26.

55. Gateway is likewise involved in warehousing work on the terminal at Garden City. Sims Decl. ¶ 26.

56. Gateway, which has assumed the lease of SSA after the joint merger, also leases warehousing space to offer warehousing services to the carriers that call within the Port. CX_000637; CX_000718; CX_000784; CX_000930.

57. Gateway currently performs certain warehousing work at sheds (warehouses) in the terminals. *Id.* at ¶ 27.

58. Gateway employs a shed gang (a header and a complement of workers) to perform stuffing and stripping work in sheds throughout the facility. *Id.* at ¶ 28.

59. The Gateway employees stuff (pack) and strip (unpack) containers that are stored in the shed. The containers are stored in the warehouse before and after they are stuffed and stripped. The cargo is also stored in the warehouse before and after it packed and unpacked from the containers. *Id.* at ¶ 29.

MARINE TERMINAL SAFETY AND SECURITY SERVICES OFFERED BY RESPONDENTS

60. The license agreements and lease agreements between Gateway and GPA divest GPA of liability and vest liability with Respondent Gateway for ensuring the safety and security of the terminal facilities under the contractual control of Gateway.

61. The Gateway Operating Agreement states that Gateway must ensure the safety of the employees performing stevedoring functions in the marine terminal. CX_000467.

62. Exhibit B to the License Agreement between Gateway and GPA, titled “Safety Rules and Procedures” provides:

Gateway shall be solely responsible for taking reasonable precautions and steps to ensure and maintain a safe work environment at the Terminal for its members, employees, contractors, subcontractors and invitees. In

addition to abiding by GPA's safety rules, Gateway shall assume responsibility for developing, implementing, and monitoring its own safety precautions and programs in connection with the performance of the Services by its employees, agents and contractors including taking reasonable precautions for the safety of, and providing reasonable protection to prevent damage, injury or loss to, (i) persons employed by Gateway or any other persons in the vicinity of the location where Services are being performed including, without limitation, truck drivers, third-party vendors and contractors, and (ii) supplies, materials and equipment owned by, or under the care, custody or control of Gateway.

CX_000609.

63. Exhibit B, Section 3 of the License Agreement provides:

Gateway shall ensure that all of its members, employees, contractors, subcontractors and invitees understand and abide by the safety rules set forth in GPA's MTO Schedule, as may be revised from time to time, including, without limitation, pedestrian traffic, smoking, sexual harassment, hot work requests and permits, and handling of explosive, flammable or hazardous cargo. In addition, Gateway shall comply with all written safety policies and brochures issued by GPA from time to time and/or posted on GPA's website, www.gaports.com. In the event Gateway has any questions regarding GPA's safety rules, or to obtain copies of all written safety policies and/or brochures, Gateway may contact GPA'S Safety Department using the contact information available on the website.

CX_000609.

64. Similarly, the license agreements and lease agreements between SCSPA and CSC divest SCSPA of liability and vest liability with CSC for the safety and security of the terminal facilities under the contractual control of the Respondents.

65. For example, the Master Port Facility License Agreement between CSC and SCSPA provides:

The Ports Authority shall not be liable for the safety or security of any persons or property on the Facility or Terminal. Licensee, in its discretion, may provide appropriate surveillance or security and alarm systems to assure the security and safety of the Facility and protection of persons or property at the Facility. The Ports Authority shall not be liable for any loss or damage arising from criminal activities at the Facility, Port, or Terminal or the inadequacy or alleged inadequacy of any security service or the

failure to furnish or delay in furnishing any such service. Any crimes or other offenses, including traffic offenses and crimes and offenses involving damage to or theft of any portion of the Facility or other property of the Ports Authority, shall first be reported to the Ports Authority Port Police, then to the Terminal Manager or his/her designee.

CX_000188.

66. The SCSPA had been placing the responsibility for maintaining marine terminal safety and security with the other Respondents even before the implementation of the joint ventures.

67. For example, the Port Facility License Agreement between SCSPA and SSA required SSA to provide video surveillance and security in the areas of the marine terminal under SSA's control:

Licensee, in its discretion, may provide appropriate surveillance or security and alarm systems to assure the security and safety of the Facility and protection of persons or property at the Facility. Any crimes or other offenses, including traffic offenses and crimes and offenses involving damage to or theft of any portion of the Facility or other property of the Ports Authority, shall first be reported to the Ports Authority Port Police, then to the Terminal Manager or his/her designee. The Ports Authority shall not be liable for any loss or damage arising from criminal activities at the Facility, Port, or Terminal or the inadequacy or alleged inadequacy of any security service or the failure to furnish or delay in furnishing any such service.

CX_000902.

68. The First Amendment to Lease Agreement between SSA and SCSPA stated:

Lessee acknowledges that Lessor provides no security services, security system or lighting, cameras, guards, fencing, window and door protection or other security measures {individually or collectively "Security Systems") other than such Security Systems which may exist on the Premises on the applicable Commencement Date, and Lessor makes no representation or warranty as to the adequacy of any such Security Systems to protect the Premises, Lessee shall be solely responsible for all access and security issues relating to the Premises. Further, Lessee agrees that all personal property in, on, or about the Premises shall be and remain at Lessee's sole risk, and Lessor, shall not be liable for any damage to or

loss of such personal property arising from fire, from the leaking of the roof, or from the bursting, leaking or overflowing of water, sewer or steam pipes, or from malfunctions of the heating, air conditioning, plumbing or electrical systems, nor shall Lessor, be liable for any damage to persons or property arising from any trespass, vandalism, breaking and entering, damage by third parties or from any cause whatsoever.

CX_000988.

69. Additionally, the Raes Hall Lease between Gateway and GPA also requires Gateway to maintain and repair and ensure the security of the space that it leases from GPA.

CX_000704.

Dated: May 15, 2023

MAZZOLA MARDON, P.C.

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EXHIBIT C

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

	X	
INTERNATIONAL LONGSHOREMEN’S ASSOCIATION,	:	
	:	
Complainant,	:	
v.	:	
GATEWAY TERMINALS, LLC;	:	FMC Docket No.: 22-12
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
	:	
	X	

**REPLY BRIEF OF COMPLAINANT INTERNATIONAL LONGSHOREMEN’S
ASSOCIATION IN SUPPORT OF THE
COMMISSION’S JURISDICTION OVER RESPONDENTS**

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INTRODUCTION

The International Longshoremen's Association ("ILA") submits this brief to the Federal Maritime Commission ("Commission") in reply to the Reply Brief on Personal Jurisdiction filed by Respondents Gateway Terminals, LLC ("Gateway"), Charleston Stevedoring Company, LLC ("CSC"), Ports America Florida, Inc. ("Ports America"),¹ SSA Atlantic, LLC ("SSA"), and Ceres Marine Terminals, Inc. ("Ceres") (collectively, "Respondents").²

Respondents fail to rebut the ILA's demonstration that Respondents qualify as marine terminal operators ("MTOs") under the Shipping Act because they can condition a common carrier's access to terminal facilities upon payment of fees for both: (1) their exclusive stevedoring and checking services; and (2) their exclusive gate operation services.

Respondents also fail to rebut the ILA's showing that they share joint control over furnishing terminal facilities in the Port of Charleston and the Port of Savannah (together, the "Ports") with the South Carolina State Port Authority ("SCSPA") and Georgia Port Authority ("GPA") (together, the "Port Authorities"). As the evidence shows, Respondents' pervasive involvement in the business of common carriers and the degree of their control over the two Ports' terminal facilities confers the Commission jurisdiction over the Respondents.

LEGAL STANDARD

Respondents argue in their answering brief that Commission Rule 502.62(a)(5) and (b)(5) require the Commission to dismiss complainant's claims on the papers alone. Resp. Br. 5.

¹ Ports America Florida, Inc. was named as a Respondent in this case because the publicly disclosed proposed joint venture agreement (Agreement 201293) included that entity as a contracting party. See CX_001101.

² References to Respondents' Reply Brief on Personal Jurisdiction will be cited as Resp. Br. _____. References to Respondents' First Brief in Support of Respondent's Motion to Dismiss will be cited as Resp. MTD Br. _____. References to ILA's principal Brief in Support of Jurisdiction Over Respondents will be cited as ILA Br. _____.

Respondents tellingly cite no Commission or court authority to support this assertion. As the ILA already explained, where jurisdiction is being decided based upon “affidavits and discovery materials without holding an evidentiary hearing,” the ILA has the burden of making out only a *prima facie* showing of personal jurisdiction over Respondents. See *AT&T v. Compagnie Bruxelles Lambert*, 94 F. 3d 586, 588 (9th Cir. 1996). Dismissal of the AVC is appropriate then only if the ILA has failed to make such a “*prima facie* showing of personal jurisdiction.” *Id.* (citations omitted). This standard is not relegated to federal court; the Commission applies the *prima facie* standard to determine whether it has jurisdiction over respondents to private party complaints.³ See *R.O. White & Co. v. Port of Miami Terminal Op. Co.*, No. 06-11 (July 28, 2009) (“I find that the Complainants have met their burden of affirmative proof of jurisdiction within the meaning of [the Act].”) (adopting *prima facie* standard set forth by *Negron-Torres v. Verizon Comm’n’s, Inc.*, 478 F.3d 19, 23 (1st Cir. 2007)).

Even if the Commission were not to apply the *prima facie* standard, when presented with conflicting declarations without a hearing, the summary judgment standard is appropriate.⁴

Therefore, to the extent there are any genuine issues of material fact, it would not be proper to dismiss the complaint without a hearing. As the Supreme Court has explained:

[C]ourts [and administrative law judges] may not resolve genuine disputes of fact in favor of the party seeking summary judgment . . .

³ There can also be no serious contention that the cases relied on by the ILA should not be relied on by the Commission. Resp. Br. 4. The Commission consistently relies on the Federal Rules of Civil Procedure to determine the applicable standard of review, practice, or procedure. *E.g.*, 46 C.F.R. 502.12.; see also *Kawasaki Kisen Kaisha, Ltd. v. Intercont’l Exch., Inc.*, 2000 WL 1285694, at *1 (FMC Aug. 3, 2000) (“The Commission follows the Federal Rules of Civil Procedure observed in the United States District Courts if they are consistent with sound administrative practice.”).

⁴ Following the Respondents’ blanket assertion that a preponderance of evidence review should be applied here would clearly be in error because that standard presupposes a full evidentiary hearing. See *Hilsinger Co. v. FBW Investments*, 109 F. Supp. 3d 409 (D. Mass. 2015) (“The ‘preponderance-of-the-evidence’ standard ‘necessitates a full-blown evidentiary hearing at which the court will adjudicate the jurisdictional issue definitively before the case reaches trial.’”) (citing *Foster–Miller, Inc. v. Babcock & Wilcox Can.*, 46 F.3d 138, 145–47 (1st Cir. 1995) (full blown evidentiary hearing necessary before applying preponderance of the evidence standard)).

a ‘judge’s function’ at summary judgment is not ‘to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial.’ (citation omitted). Summary judgment is appropriate only if . . . “there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law.

Tolan v. Cotton, 572 U.S. 650 (2014) (citing Fed. Rule Civ. Proc. 56(a)). In making this determination, the Commission must view the evidence “in the light most favorable to the opposing party. . . and it may not make credibility determinations or weigh the evidence . . .” *Adickes v. S. H. Kress & Co.*, 398 U. S. 144, 157 (1970); *see also Reeves v. Sanderson Plumbing Prods.*, 530 U.S. 133, 150-151 (2000).

ARGUMENT

The critical factor in determining whether an entity “furnishes wharfage, dock, warehouse, or other terminal facilities” is the extent of the entity’s control and administration over terminal facilities and “the degree to which [its] involvement enables [it] to discriminate.” *Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Comm’n*, 838 F.2d 536, 541 (D.C. Cir. 1988), *affirming New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.*, 23 S.R.R. 1363 (FMC 1986) (“*Plaquemines II*”); *see also Plaquemines Port, Harbor & Terminal Dist.*, 21 S.R.R. 1072, 1079 (1982), *appeal dismissed*, No. 82-1941 (D.C. Cir. May 17, 1983) (“*Plaquemines I*”).

It is perplexing that Respondents would at this stage argue that the tests set forth in *Plaquemines I* and *II* are inapplicable or unhelpful to the Commission’s decision on the present motion. Resp. Br. 8-9. The Respondents have relied on the *Plaquemines* decisions since their first motion to dismiss to argue that the Commission lacks jurisdiction here. Resp. MTD Br. 5-6. General Counsel’s August 6, 2019 letter—cited verbatim by Respondents, Resp. Br. 11-12—and

Respondents’ own position during the 2019 review of Agreement No. 201293, CX_000163-64, relied almost exclusively on the *Plaquemines* decisions.⁵ Respondents also fail to address the fact that the control theory developed in these “controversial” “cases from the 1980s,” Resp. Br. 8, is still applied by the Commission. See *Carolina Marine Handling Inc. v. S. Carolina State Ports Auth.*, 99-16, 2000 WL 722274 (May 2, 2000) (“The ability to control access to terminal facilities is the economic power subject to the greatest potential for abuse. . . [r]egulatory oversight which ensures reasonable, non-discriminatory access to those facilities should be the primary focus of the Commission’s regulation of marine terminal activities.”); see also *Toyota de Puerto Rico Corp. v. Puerto Rico Ports Auth.*, 19-02, Order (July 2, 2019) (explaining that *Plaquemines* set forth the control theory of the Commission’s jurisdiction); *Auction Block Company v. the City of Homer*, 2013 WL 9808688, at *13 (May 20, 2013) (same).

Above all else, the statutory scheme of the Act “contemplates regulation of any entity if it exercises sufficient control over terminal facilities to have a discernible effect on the commercial relationship between shippers and carriers involved in that link in transportation.” *Plaquemines I* at 1079. The facts before the Commission to consider here should not be lost. Three marine terminal operators have entered two joint ventures whereupon they not only control access to the port terminals through their gate operations, but also provide marine terminal facilities, their warehouses, and exclusively provide a number of marine terminal services to carriers that call in the Port. Respondents’ literal ability to restrict access to the ports’ marine terminal facilities, and

⁵ As the ILA has maintained throughout this proceeding, and ALJ Wirth acknowledged in her June 23, 2022 Order, “the opinion by OGC is not binding on this proceeding.” Order, p. 3. Further, General Counsel at that time evaluated facts presented by Respondents in the Port as of 2019, and the review of a full evidentiary record of Respondents’ present-day activities are being evaluated for the first time here.

their control over the marine terminals themselves means that they can affect marine terminal commerce. *Id.*

Moreover, Respondents cannot hide behind the joint ventures (“JVs”) that they themselves entered into. As the ALJ found in a similar case, “POMTOC, like any limited liability company, is a cross between a business corporation and a general partnership . . . As acknowledged in their pre-hearing statement, the members formed POMTOC so as to continue their business operations in a more efficient and productive manner . . . It would be directly counter to the intent and language of the Act to allow them to evade the jurisdiction of the Commission merely because they do not perform the functions of a MTO with their own employees.” *R.O. White & Company, Inc.*, FMC 06-11 (2009), (decision made administratively final through Notice Not to Review issued Oct. 6, 2009) (finding that POMTOC, as well as respondent members of POMTOC, LLC were MTOs under the Shipping Act); *see also* CX_000161-64 (Respondents justifying the JVs for the same reasons advances by POMTOC). The three JV members cannot use the JVs as a smokescreen to escape liability for the JVs’ actions and they each must qualify as MTOs for the same reasons that confer jurisdiction over the JVs themselves.

Finally, in asking the Commission to depart from precedent, Respondents rely primarily on the written declarations from their own officials that are free from cross-examination. Resp. Br. 16-18. As shown below, these “self-serving declarations,” *see* Resp. Br. 24, are contradicted by both the documentary evidence and the ILA’s own declarations.

I.

RESPONDENTS CONTROL ACCESS TO THE PORT TERMINALS THROUGH THE FEES CHARGED TO CARRIERS FOR THEIR EXCLUSIVE PROVISION OF ESSENTIAL SERVICES

Though Respondents make much of the fact that they neither own nor lease the marine terminals, “ownership or operation of terminal facilities is not a necessary prerequisite to the ability to discriminate.”⁶ *Plaquemines II*, 838 F.2d at 543. Rather, the “critical issue for jurisdiction is that the degree of the [Respondent’s] involvement enables [them] to discriminate.” *Id.* As the ILA demonstrated in its initial brief, the Commission has jurisdiction over Respondents because their control over access to the Ports’ terminal facilities allows them to discriminate against those who seek access to the facilities. *See id.*

The ILA has already explained how the Respondents turned themselves into MTOs when they entered into joint ventures which made them the **only** providers of essential stevedore and checking services at the Ports’ terminal facilities. *Plaquemines I*, 21 F.M.C. 66 (1982) (Commission asserting jurisdiction over entity that charges fees for essential services which it has the “exclusive ability” to provide). Now, any carrier who wishes to call on either Ports’ facilities must pay Respondents a fee for their services. This ability to restrict access to terminal facilities upon payment of Respondents’ fees enables them to discriminate in the fees they charge carriers. Just like the port authority’s harbor fees in *Plaquemines II*, this is sufficient to sustain jurisdiction. *See* 838 F.2d at 543.

⁶ This argument also ignores that Respondents **do** lease or license large swaths of the terminal facilities in both Savannah and Charleston (including gate booths, yard space, office buildings, warehouses, training areas, and the use of dockage, wharfage, and other terminal areas as needed to perform their stevedoring and gate services). *See* ILA Br. 24-26.

Respondents do not dispute that checking and stevedoring are “essential” terminal services.⁷ Nor do they dispute that access to the Ports’ facilities is conditioned upon a commitment to pay Respondents for these marine terminal services. Resp. Br. 25. Rather, Respondents take the confounding position that the carriers’ relative bargaining power somehow divests the Commission of jurisdiction:

ILA’s claim that a carrier’s access to terminals depends on whether the carrier agrees to contract with CSC also misses the mark. ILA claims that CSC is some kind of all-powerful gatekeeper against helpless carriers, but this fails to recognize the bargaining power that carriers have, overlooks myriad other reasons why carrier would call on a particular port, and misunderstands that CSC has an economic incentive to negotiate competitive rates and encourage carriers to call on the Port of Charleston.

Id. But this is irrelevant as to whether Respondents are MTOs under the Shipping Act. Whether or not carriers may have their own business reasons for calling at the Ports has no bearing on the fact that Respondents can restrict access to the Ports’ terminal facilities. Besides, Respondents concede that they have control over access to terminal facilities through the fees they charge carriers by **acknowledging** that they have the ability to “negotiate competitive rates” that will encourage carriers to call there. *Id.*

Respondents’ arguments regarding gate operations are similarly unavailing.⁸ In their brief, Respondents contort themselves to downplay their control over terminal gates facilities, despite

⁷ Nor could they when “checking, handling, heavy lift, loading and unloading” services all come under the Commission’s own definition of terminal services. 46 C.F.R. § 525.1(c)(19). Stevedoring and checking are intimately related to the terminal’s core function of “receiving, handling, transporting, storing, or delivery of property.” See *Petchem, Inc. v. Canaveral Port Auth.*, 84-28, 1986 WL 170038 at *8-9 (1986). Past cases also make clear that services can be transformed into terminal functions if, as here, access to the terminal is conditioned upon a commitment to pay for those services. *Id.* at 11.

⁸ While the full extent of Respondents’ control over terminal gate operations is not yet known due to their refusal to cooperate in discovery, the documentary evidence and declarations are more than sufficient to establish jurisdiction here.

having argued in 2019 that their extensive control over gate operations allows them to “exercise control over access to the terminal itself.” CX_001034; *see also* CX_001024. However, Respondents cannot deny that Gateway and CSC have full operational control over gate facilities as the “exclusive providers” of gate operation services in the Ports.⁹ Nor can they deny that Gateway and CSC restrict access to the terminal by assessing carriers a fee for these gate interchange services. *See Plaquemines II*, 838 F.2d at 543 (jurisdiction is conferred if the entity “begin[s] to charge a fee for their services and to control access to private facilities to enforce their charges. . .”).

Respondents accept that Gateway “provides access to the terminals” and “operates the gates at the relevant terminals” in Savannah and that CSC “perform[s] gate services” in Charleston. Resp. Br. 23, 25; *see also* McLaughlin Reply Decl. ¶¶ 21-32; Simms Decl. ¶¶ 24-36. They also accept that CSC and Gateway charge the carriers directly for these services.¹⁰ Resp. Br. 22-23, 25; *see also* CX_000221 (“[CSC] shall negotiate tariff rates for Stevedore Services and CGC fees for gate services directly with the container shipping lines”); CX_000245-63 (CSC’s rate agreements with the container shipping lines showing that CSC bills the carriers directly for gate services); McLaughlin Decl. ¶¶ 31-32; Sims Decl. ¶¶ 22, 34; Grimes Decl. ¶ 9; CX_000170 (“rates

⁹ At the terminal gates, Gateway and CSC employees exclusively perform transfer interchange receipt (TIR) and equipment interchange functions, involving the inspection of container and chassis equipment and supervising the transfer of that equipment in and out of the terminal. In Charleston, CSC employees generate a TIR, check containers for damage, and review a road truck driver’s identification and paperwork before the truck is given access to the facility. McLaughlin Reply Decl. ¶¶ 21-32; McLaughlin Decl. ¶¶ 27-28. And in Savannah, Gateway employees verify the truck driver’s container identification number and inspect the container and chassis equipment for damage and other potential hazards. Simms Decl. ¶¶ 29-32.

¹⁰ Mr. Grimes states that the fact that carriers are billed weekly, rather than daily, for their services is somehow indicative that Gateway cannot deny access to carriers who refused to pay their fees. But of course Gateway would also be able to deny access to a carrier who does not make its weekly payments. Grimes Decl. ¶ 9.

for gate services or TIR in Savannah are set by Parties, independent of GPA.”); CX_000556-85 (listing “Gate Costs,” “TIR Rate,” “Special Weekend/Holiday Rate”).¹¹

Nevertheless, Respondents contend that the gate operations do not provide the Commission with jurisdiction because Gateway and CSC perform these essential services pursuant to contracts with the Port Authorities.¹² Respondents provide no legal support for this position under an agency theory or similar legal theory. Nor do they provide any genuine factual basis for finding that Respondents lack the authority and discretion to restrict terminal access to port users.¹³

Whether or not Respondents perform these gate services pursuant to a license agreement is irrelevant to the key considerations at issue for jurisdiction—that is, whether Respondents provide essential services (which they indisputably do) and whether they can control access to private facilities by assessing fees on common carriers for their essential services (which they indisputably can).¹⁴ See *Plaquemines II*, 838 F.2d at 543. Indeed, certain access standards

¹¹ Respondents also **do not** dispute that Gateway’s and CSC’s gate operation services are “**essential**” terminal services and instead argue that *Plaquemines I* and *II* are inapplicable here. Resp. Br. 37-38. Like the vessel operations Respondents perform, the gate terminal services are indisputably “essential” terminal services intimately related to the “receiving, handling, transporting, storing, or delivery of property.” 1986 WL 170038 at *8-9. Among other things, the Respondents’ employees are performing checking functions at the gate, which fall under the FMC’s definition of terminal services. 46 C.F.R. § 525.1(c)(19). Further, the interchange functions performed by Respondents’ employees at the gates are fundamental to the operation of the terminal and the movement of inbound and outbound container cargo to and from the facility and relate directly with terminal services.

¹² While Respondents’ affiants try to downplay the extent of Respondents’ control over the gates, the ILA’s witnesses describe the reality of Respondents’ full operational and staffing control over gate terminal interchange facilities. See McLaughlin Reply Decl. ¶¶ 21-32 (Local 1771 President correcting certain inaccuracies in Mr. Joseph Haigler’s declaration regarding Respondents’ role at the gates); Simms Decl. ¶¶ 24-36.

¹³ Respondents also do not explain why, even if it is true that the JVs act as GPA’s and SCSPA’s agents at the gates, that the Respondents’ could not **also** be MTOs within the meaning of the Act. A principal/agent relationship does not change the undisputed facts that the JVs assess a service charge to all carriers who use road trucks at the terminals for shipping inbound and outbound cargo to its final destination.

¹⁴ Respondents claim that the GPA and SCSPA police are generally responsible for terminal security, including who enters and exits the facility through terminal security gates. But the ILA never argued that Respondents have control over these security gates. Rather, the ILA argued, and Gateway and CSC do not dispute, that they exclusively perform interchange functions at the gate for which they assess a fee directly from the carriers.

mandated by the Maritime Transportation Security Act, 33 C.F.R. § 105 *et seq.*, and specified gate hours in the license agreements do not deprive the JVs of their independent authority over the gate services they exclusively provide in the Ports. CSC and Gateway directly employ those working at the gate interchange. McLaughlin Decl. ¶¶ 33, 34; Simms Decl. ¶¶ 23-25. The terminal gate employees are paid by CSC and Gateway and they answer to CSC and Gateway. The JVs also have their own operating agreements and their own rules and procedures for work performed at the gates. See CX_204-213, 390-397, 1038-058. The parties' contractual relationship does nothing more than show two parties who share responsibility on port operations having agreed to certain parameters that will allow them to efficiently perform their respective terminal functions necessary to the operation of terminal facilities in the two large ports. See CX_000169.

Further, during the review of Agreement No. 201293, the General Counsel acknowledged that the second element of *Plaquemines* was met with respect to Gateway's assessment of fees in Savannah, but not in Charleston because at that time SCSPA charged the carriers directly for the gate services.¹⁵ However, as Respondents explain, "while SCPA previously charged carriers directly for gate services, **CSC now charges a gate fee per vessel throughput for its gate services and bills carriers directly.**" (emphasis added). Resp. Br. 25. So now, in both ports, if a carrier fails to pay either CSC's or Gateway's gate fees, Respondents have the ability to deny that carrier access to the facility in order to transport its cargo on road trucks.¹⁶

¹⁵ The General Counsel has already acknowledged the gate fees provide a basis for jurisdiction over Gateway in Savannah, but concluded that this alone was insufficient to confer jurisdiction over NEWCO which was intended to cover **both** Savannah **and** Charleston. CX_000172. However, since Respondents opted to abandon NEWCO and instead create separate joint ventures at each port, Gateway's gate services in Savannah should now be at the very least sufficient to establish jurisdiction over Respondents in Savannah.

¹⁶ Access can also be denied for other reasons, *e.g.*, if the trucker's equipment is damaged, the trucker has the wrong identification number or paperwork, or the container does not have proper labeling when carrying hazardous materials.

Thus, a carrier that does not agree to Respondents' gate fees in Savannah or Charleston is then otherwise forced to select another port, such as Wilmington, NC or Jacksonville, FL, to ship its cargo.

II.

RESPONDENTS JOINTLY CONTROL THE TERMINAL FACILITIES IN CHARLESTON AND SAVANNAH WITH THE PORT AUTHORITIES

As the ILA observed in its initial brief, this case is even easier than the *Plaquemines* line of cases, where the entity played no role in the operation of a marine terminal, because Respondents actually **do operate** terminal facilities in both Ports. The ILA explained in its principal brief that Respondents' considerable involvement in the Ports' terminal facilities—and in many instances and at many times their **complete** control over those facilities—makes them MTOs within the meaning of the Shipping Act.

In response, Respondents deflect by listing all the ways that SCSPA and GPA are MTOs. But the ILA does not argue that the Ports Authorities are not also MTOs. Resp. Br. 22-23, 25. Rather, the ILA's position is that the record evidence demonstrates CSC and Gateway are so interconnected with the Ports Authorities and are so involved in the day-to-day operations of the Ports' terminal facilities (and the services connected therewith) that they share joint operational control with SCSPA and GPA over the Ports' terminal facilities. *See Carolina Marine Handling, Inc.*, 2000 WL 722274 at *38 ("The key element in finding that the Commission has jurisdiction in this case is the existence of a port authority's "control and administration" over the terminal facilities and the port's resultant ability to discriminate"). As a result of this joint control, Respondents furnish terminal facilities coextensively with the Ports Authorities; and a conclusion otherwise would be a departure from Commission precedent. *Plaquemines I*, 21 S.R.R. at 1080

(finding “that such pervasive involvement in the business of common carriers, marine terminals and the commerce of the United States confers on the Commission jurisdiction over the Port.”).¹⁷

Respondents demonstrate “sufficient control over terminal facilities” because their involvement in the operation of Ports’ facilities has “a discernible effect on the commercial relationship between shippers and carriers involved in that link in transportation.” *Plaquemines I*, 21 S.R.R. at 1079. For example, as discussed above in Section I, *supra*, CSC and Gateway furnish terminal facilities by way of their exclusive administration of gate terminal interchanges, a key piece of the Ports’ terminal facility infrastructure. *See Carolina Marine Handling, Inc.*, 2000 WL 722274 at *38; *Plaquemines II*, 838 F.2d at 540; CX_000264-65 (chart depicting each Respondents’ control over the marine terminal gates). Indeed, as Respondents previously explained, their control over the gates separates them from the regular run-of-the-mill stevedoring company. *See CX_000167* (explaining that their “more expansive role” in yard planning and moving cargo around the terminal within the facility makes their role in the Ports “significantly different” than that of a typical stevedore).

Further, in administering their exclusive gate and stevedoring services, Respondents must communicate with the carriers frequently and directly. Without Respondents’ gate or stevedoring services, carriers could not move their cargo at the facility either by vessel or road truck. Such “pervasive involvement” in the business of common carriers seeking to call at the Ports is sufficient to establish jurisdiction. *Plaquemines I*, 21 S.R.R. at 1080; *see also CX_1037* (Respondents

¹⁷ There is also no basis for finding, as Respondents imply, that there can only be one MTO at a given port. Resp. Br. 22 (citing the Gateway License Agreement stating that GPA “would ‘continue to be the marine terminal operator for the Terminal responsible for the operation of all cranes and container handling equipment’”). The Commission’s prior decisions show that this is simply untrue. *See Plaquemines II*, 838 F.2d at 543; *R.O. White & Co.*, No. 06-11 (establishing that Port of Miami Terminal Operating Company, Continental Stevedoring & Terminals, Inc., Florida Stevedoring, Inc., Ports America, Inc., and Ports America Florida, Inc. are all MTOs in the Port of Miami).

claiming that “the level of integration among the gate, yard and vessel functions is expected to increase once this agreement takes effect. Thus, **the JV company (responsible for the gate and vessel loading/unloading operations) will be playing a closer planning role with the port authority (which operates the yard and cranes), with an aim of making the entire port facility operate in a more integrated, seamless and efficient manner.**” (emphasis added)); McLaughlin Reply Decl. ¶¶ 10-14.

Respondents also directly furnish warehousing. 46 C.F.R. § 535.104(p) (definition of MTO includes a person furnishing warehousing). They do so by way of their control over the warehouses where stuffing and stripping of containerized cargo is performed. CX_000718 (SSA’s lease defining stuffing and stripping work to be performed in leased area); CX_000787 (same); CX_000896 (same); Brave Decl. ¶¶ 11, 28; *see also* Mosley Decl. ¶¶ 26-29; Sims Decl. ¶¶ 39-42; McLaughlin Decl. ¶¶ 20-26; CX_000199; CX_000637; CX_000716; CX_001018. Stuffing is the loading of a container with warehoused cargo while stripping is unloading the cargo from within the container into the warehouse or equivalent storage area.

While the evidence shows several other leases of warehouse property, Respondents also concede that SSA operates an off-pier warehouse in Charleston, Lokey Decl. ¶¶ 16, 18(a), and that CSC offers off-pier warehousing outside of the Wando Welch, Leatherman, and North Charleston marine terminals, Haigler Decl. ¶¶ 9, 12(c).¹⁸ Yet Respondents claim these off-pier warehouses are not marine terminal facilities and that Respondents’ container freight station work is not a marine terminal function. But marine terminal facilities are “not limited to waterfront or port facilities” and “off-dock container freight stations at inland locations” are one of the specific

¹⁸ Additionally, Respondents’ Haigler Declaration also confirms that CSC uses its licensed 1.16-acre area near the Wando Welch Terminal to store equipment and conduct container freight station work. *Id.* ¶ 13(c).

examples of marine terminal facilities provided in the Commission’s rules. 46 C.F.R. § 535.104(p). This must be why Respondents reference to the statutory definition of marine terminal facilities omits the final sentence from 46 C.F.R. § 535.104(p): “This term is not limited to waterfront or port facilities and includes so-called off-dock container freight stations at inland locations and any other facility from which inbound waterborne cargo may be tendered to the consignee or outbound cargo may be received from shippers for vessel or container loading.” Through their control over these warehouse facilities, where Respondents employ ILA-represented labor to stuff and strip common carrier-owned containers, Respondents operate as marine terminal operators within the meaning of the Act.

The ILA also explained in its original brief that Respondents exercise substantial control over the Ports’ facilities when they perform its exclusive vessel operation services. As the cargo moves inside the terminal, Respondents’ employees exercise control over the marine terminal. See CX_000264-65; McLaughlin Reply Decl. ¶¶ 10-14; Simms Decl. ¶¶ 14-23. For example, Respondents are in charge of the terminal (and the state employees working on the terminal) when containers are moved to and from the stacking areas on the terminals. Respondents downplay their role in terminal facilities when cargo is being moved throughout the terminal and likewise downplay their control over the marine terminal during ship operations. Resp. Br. 24. But each of the ILA’s affiants, who are employed by CSC or Gateway—and who work on a daily basis on the marine terminals in either Port—are certain that CSC and Gateway control the marine terminal during ship operations. Brave Decl. ¶¶ 24-25; Mosley Decl. ¶¶ 16-17; McLaughlin Reply Decl. ¶¶ 15-20; McLaughlin Decl. ¶¶ 18-19; Simms Decl. ¶¶ 16-19. The ILA’s affiants are similarly certain that CSC and Gateway exercise control over the terminal when the containers are moved

inside the terminal. Mosley Decl. ¶¶ 22-25; Simms Decl. ¶¶ 21-22; McLaughlin Reply Decl. ¶¶ 10-14.

Respondents have offered their own declarations stating that the Ports Authorities maintain full responsibility and control over the terminal facilities.¹⁹ See, e.g., Grimes Decl. ¶ 23; Haigler Decl. ¶ 10. In doing so, Respondents create many disputed facts. But under either the *prima facie* or summary judgment standard, it is not appropriate to make credibility determinations based on the papers. “Such credibility determinations, based upon [the] decision to weigh the competing evidence” “demand[s]” that the . . . dispositive motion be denied. *Strickland v. Norfolk Southern Ry. Co.*, 692 F.3d 1151, 1161-62 (11th Cir. 2012). This is because:

Summary judgment operates as a judicial safety-valve, permitting the court to decide a case as a matter of law only where there are no genuine issues of material fact that are relevant to the parties' dispute; it does not permit, however, the court to make a final determination where such genuine issues of material fact exist.

Id. Indeed, “[w]here a fact-finder is required to weigh a **deponent’s** credibility, summary judgment [and therefore, dismissal under the lower *prima facie* standard] is simply improper.”

*Id.*²⁰

Respondents also misunderstand what the office space, training areas, yard space, and other marine terminal facilities leased by Respondents on the terminals show. Resp. Br. 27 (arguing maintenance of office space is not relevant to jurisdiction because office spaces “are not terminal services.”). Not only do these facts show Respondents’ actual control over terminal facility property, but the office space leased by Respondents, among the other extensive property leased

¹⁹ If this were true, it is curious that none of the documents provided in the albeit limited discovery from Respondents supports this argument.

²⁰ These considerations are even stronger here where the ILA has had no opportunity to depose and cross examine the Respondents’ witnesses.

or licensed to Respondent, further illustrates Respondents’ extensive presence at the terminals and their involvement with the day-to-day operations of the terminal facilities. In this regard, Respondents and the Port Authorities engage in joint training exercises, CX_000521, CX_000213, the Port Authorities divest responsibility for the safety of training personnel and other personnel in the marine terminal to Gateway and CSC, CX_000522, CX_000213-14, GPA and Gateway are partnered in the parking and placement of personnel vehicles in or near the terminal, CX_000523, CSC is responsible for shuttling personnel to and from the marine terminal, CX_000114, and CSC was responsible for spraying and disinfecting marine terminal areas during the COVID pandemic, McLaughlin Reply Decl. ¶ 32.

Respondents cannot help but to concede their considerable involvement in the day-to-day operations of the Ports, such as yard planning, and their frequent communications with common carriers seeking to use port facilities. *See* Resp. Br. 17 (admitting Respondents “communicate with ocean carriers and port authorities to coordinate the assignment of longshore crews to stevedore vessels calling there.”); Resp. Br. 18-19 (acknowledging that Respondent SSA “performed cross-docking work in Savannah terminals” but that GPA’s ownership of the terminal is the only material fact (it is not)); Resp. Br. 21 (acknowledging Respondents’ heavy involvement in terminal yard planning and control over the yard, “Gateway provides input towards yard planning for specific vessels.”); Resp. Br. 26 (“CSC is responsible for moving cargo between vessels and container yards”).²¹ Thus, Respondents themselves recognize their role in terminal operations and control over the related facilities.

²¹ Respondents assertions that the Port Authorities alone are responsible for maintenance and upkeep of the terminal facilities are contradicted by numerous documents in the record requiring Respondents to maintain or repair the facility property they lease and license. *See* CX_000185-186; CX_000363; CX_000382; CX_000468; CX_000615; CX_000643; CX_000657; CX_000720; CX_000737; CX_000788; CX_000810; CX_000843; CX_000865; CX_000884; CX_000889; CX_000900; CX_000933; CX_000953; CX_001016; CX_001069 (each of which state

These admissions establish that Respondents **jointly** furnish marine terminal facilities with the Port Authority. Their control over terminal facilities ranges from pre-vessel operations, McLaughlin Decl. ¶¶ 17-19; Simms Decl. ¶¶ 16; McLaughlin Reply Decl. ¶¶ 15-21, to complete control over the marine terminal during vessel operations, Brave Decl. ¶¶ 24-25; Mosley Decl. ¶¶ 16-17; McLaughlin Decl. ¶¶ 18-19; Simms Decl. ¶¶ 16-19, and most significantly in their control over **not only** their own ILA-represented employees **but** the state employees in the movement of cargo around the terminal, Simms Decl. ¶¶ 14-15; McLaughlin Reply Decl. ¶¶ 10-14.²²

Respondents' own account demonstrates that they have direct or indirect control over virtually every stage of import/export process flow. See CX_000264-265 (import/export flow charts). As Respondents explain during the review of Agreement No. 201293:

The parties qualify as marine terminal operators in the ports pursuant to 46 U.S.C. § 40102(15) because of their operational control and staffing of key terminal infrastructure (i.e., the terminal gates), their control over access to the terminal facilities, their provision of essential services (including checking, recognized by the Commission to be a marine terminal service, as well as yard planning and stevedoring), and their assessment and collection of gate fees.

Respondents **are** responsible for maintenance within the terminal). Nor do their assertions regarding terminal maintenance or the Port Authorities' other responsibilities in the Ports detract from the fact that Respondents' control over and provision of marine terminal facilities amounts to marine terminal operations.

²² Respondents control pre-vessel operations and stowage through direct communications with common carriers. CX_000245-63; CX_000556-84; Mosley Decl. ¶ 18-19, 21; McLaughlin Decl. ¶¶ 9-16; Sims Decl. ¶ 17-19. Respondents supervise and direct both their own employees and state employees when a ship is berthed at the dock for loading/unloading of cargo. See Mosley Decl. ¶¶ 16-17; Sims Decl. ¶¶ 15-16; Brave Decl. ¶¶ 18-19; McLaughlin Decl. ¶ 19; CX_000180; CX_000202; CX_000221; CX_000390; CX_000441; CX_000587. Likewise, Respondents supervise their employees and state employees in directing cargo to and from the vessel, provide input on where containers are stored in the terminal, and direct where containers are to be positioned within the stacking areas prior to being moved to the vessel. See CX_000264-65; Mosley Decl. ¶ 10, 22-23; Sims Decl. ¶¶ 20-1; *see also* McLaughlin Decl. ¶¶ 9-16, 27-29; Brave Decl. ¶¶ 20, 22.

CX_000163; *see also* CX_000169 (explaining that “after the agreement becomes effective, the Parties expect to work closely with GPA and SCPA to calculate expected efficiency gains for a number of key performance indicators”)

It is beyond doubt that Respondents “control and administration” over the terminals enable them to discriminate such that Commission jurisdiction is appropriate. *See Carolina Marine Handling*, 2000 WL 722274, at *38.

III.

RESPONDENTS HAVE NOT COMPLIED WITH THEIR DISCOVERY OBLIGATIONS

As the ILA explained in its principal brief, virtually all relevant discovery on Respondents’ roles in Charleston and Savannah is within Respondents’ control. Respondents knew the ILA could not compel responsive and probative documents from them, and used the situation to their advantage, producing only selected documents that Respondents believed would militate against a finding of jurisdiction here.²³

A. Respondents Did Not Fulfill Their Discovery Obligations to the ILA’s Detriment and Their Own Advantage

Respondents’ own brief belies its position that the ILA was able to meaningfully engage in discovery. Resp. Br. 28. Respondents do acknowledge the ILA was unable to depose or cross-examine any witness, that the ILA would **only** have such an opportunity if it prevailed at this stage

²³ *See* ILA Br. 6-8 for a full discussion of the outstanding discovery and what that discovery could establish in this proceeding. *Accord* March 9, 2023 Order, CX_000006.

of the proceeding, and that Respondents wholly refused to engage in electronic discovery whatsoever because they unilaterally decided they did not have to. *Id.*

Reading into the March 9, 2023 Order what was not there, *see* CX00004, Respondents construed the order to mean that they were not obliged to engage in any electronic discovery. But where the Commission’s Rules are silent on a matter of procedure, “the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12.

Federal Rule of Civil Procedure Rule 34(a) provides:

(a) In General. A party may serve on any other party a request within the scope of Rule 26(b):

(1) to produce and permit the requesting party or its representative to inspect, copy, test, or sample the following items in the responding party's possession, custody, or control:

(A) any designated documents or electronically stored information--including writings, drawings, graphs, charts, photographs, sound recordings, images, and other data or data compilations--stored in any medium from which information can be obtained either directly or, if necessary, after translation by the responding party into a reasonably usable form;

FRCP 34(a)(1)(A). FRCP Rule 34(e) then sets forth the responding parties’ obligations to the requesting party, and the form in which electronically stored material should be produced. FRCP 34(b)(2)(E). In light of 46 C.F.R. § 502.12 and FRCP 34, Respondents’ interpretation of the Order is untenable. Rather than make **any** attempt to comply with its discovery obligations, Respondents interpreted the Order to mean that they could in good faith say “Look at the documents we decided to produce and rule in our favor.” Resp. Br. 28-32.

Respondents’ argument that the breadth of the ILA’s search terms somehow obviated their obligation to engage in full discovery is similarly unavailing. The ILA served its initial discovery demands on January 19, 2023. CX_000037. Since then, the ILA repeatedly expressed its

willingness to develop mutually agreeable search terms for electronic discovery for emails, has proposed such search terms, and has offered twice to narrow those terms. *See* CX_000144; CX_000148; CX_000151. Respondents have refused to engage with the ILA, stating that they had no intention to search **any** email database **at all**, *see* CX_000147; CX_000149, and Respondents admit as much in their brief. Resp. Br. 32 (“Respondents. . . have taken a firm – and justified – stance that broad electronic discovery is not appropriate at this phase of the litigation on proportionality grounds. . .”).

Respondents argument regarding the breadth of the ILA’s proposed terms also ignores, perhaps willfully, that the Commission can find jurisdiction based upon MTO status through a broad number of factors and services offered by the purported MTO. Despite Respondents’ arguments to the contrary, the search terms clearly relate to the Respondents’ status as MTOs. *Accord*, 46 U.S.C. § 40102(15) (Shipping Act defining a MTO); 46 CFR 535.104(p) (Commission regulations providing examples of MTO services). The ILA’s proposed terms were appropriate for a thorough review of Respondents’ status—or lack thereof—as MTOs. Besides, Respondents’ arguments over the breadth of the search terms present a false dilemma. The ILA repeatedly offered to confer with Respondents to narrow the search terms and Respondents could have proposed their own search terms that they deemed to be less burdensome.

This is why the ILA has been prejudiced by Respondents’ actions. The ILA was given a record set by Respondents’ own terms, and not a full record developed through good-faith conferring between the Parties. Cherry-picking documents that support a parties’ position is not

how discovery works, despite Respondents' meandering justifications for their refusal to engage in full discovery. Resp. Br. 28.

**B. Respondent Ports America Florida, Inc.
Has Wholly Failed to Respond to Requests**

Moreover, the ILA has only received documents from four of the five Respondents; the ILA has received nothing from Ports America at all. *See* CX_000146-47. Respondents argue that because Ports America Florida, Inc., is not an entity that has actually operated within the Ports, Ports America has no obligation to search for or produce any documents within the possession of the Ports America entity that *does* operate in the Ports. *See* CX_000146-47.

In its initial brief, the ILA showed that Rule 34(a) of the Federal Rules of Civil Procedure requires corporate entities to reach out to their affiliates when responding to requests for documents. Moreover, the ILA's document requests to Ports America Florida specifically instructed Ports America Florida to obtain documents from its corporate affiliate in Charleston, yet Ports America Florida has repeatedly refused to do so.

Rather than address the ILA's discovery argument, Respondents fight against a straw man, saying that the ILA is trying to "pierce the corporate veil." Except the ILA is doing nothing of the sort. It goes without saying that one corporate entity cannot be held legally responsible for the acts of an affiliate. But that has nothing to do with what the ILA argues here and argued in its principal brief. The ILA is talking about **discovery obligations**. And the rules of discovery are clear: a corporation must produce any responsive documents located in the possession of a non-party affiliate, unless there is no practical ability to obtain such documents. FRCP Rule 34.

For the time being, Ports America Florida is a properly served party in this matter and therefore may not flout its discovery obligations as a party. Respondents could have moved to

dismiss Ports America Florida, but have elected not to do so. On August 18, 2022, the Commission issued *sua sponte* an order requesting briefs on whether sovereign immunity would be implicated by this proceeding. Respondents and their amicus took the occasion to argue in support of dismissal of the AVC because of the ILA's purported failure to name the two state Ports Authorities as Respondents to this action. Respondents could have also taken **that** occasion to move to dismiss Ports America Florida, Inc.—or could have moved for dismissal for insufficient service of process as Respondents allude to in their brief—but they obviously did not. Resp. Br. 31. Because the Respondents have not moved for dismissal on either of these grounds, they should be estopped from arguing that Ports America Florida has no obligation to engage in discovery in this proceeding. See FRCP Rule 12(h)(1).

Further, Ports America Florida, Inc. **was** the entity that engaged in the review procedure with the Commission during the review of Agreement No. 201293. CX_000160. Thus, the Commission has never had occasion to evaluate whether MCTE is an MTO subject to the Commission's jurisdiction, and Ports America's failure to provide any discovery within its control presents a glaring hole in the record before the Commission on the jurisdictional issue.²⁴

On such an incomplete record, the Commission cannot entertain Respondents' efforts to escape the Commission's jurisdiction in the nation's two largest southeastern ports. The Commission must permit the ILA to proceed to the merit-based component of this proceeding.

²⁴ As the ILA has previously explained, the ILA's discovery request defined "Ports America" as follows: "Ports America means Ports America Florida, Inc., and any corporate parent, subsidiary, or affiliate that ever conducted business in the Ports of Charleston and Savannah during the relevant time period . . ." CX_000039. Thus, Ports America Florida was clearly made aware of the information that the ILA was looking for in discovery.

CONCLUSION

For the foregoing reasons, the Commission should find that it has jurisdiction over Respondents because they are marine terminal operators in Charleston and Savannah.

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 27th Day of June, 2023.

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